Research Report

16 Mar 2026

L'Oréal Group(OR PA)

Enduring Power and Innovation Driving the Global Beauty Leader: Initiation

Investment Focus

Initiate with OUTPERFORM

Rating	OUTPERFORM
Current Price	353.65
Target Price	408
Market cap	187.17bn
Shares in issue	533.78mn
1 yr high - low	406.70-329.63

Note: Current Price 353.65 is the close price on 13 Mar 2026



Source: HFI

US$ mn	Dec-24A	Dec-25E	Dec-26E	Dec-27E
Revenue	43,487	44,052	46,055	48,398
(+/-)	5.60%	1.30%	4.55%	5.09%
Net profit	6,409	6,127	6,786	7,382
(+/-)	4%	-4%	11%	9%
Diluted EPS (US$)	11.95	11.44	12.70	13.83
GPM	74.2%	74.3%	74.4%	74.7%
ROE	20.6%	18.0%	18.8%	19.0%
P/E	30	31	28	26

Source: Company data, HFI

L'Oréal Group: Global Beauty Leader. Founded in 1909 and headquartered in Paris, France, L'Oréal is the undisputed leader in the global beauty and personal care industry. In 2025, the Group recorded revenue of €44.052 billion and has consistently held the No.1 position in global beauty market share for many years (≈18.0% in 2024).The business is organized into four divisions (2025 revenue breakdown): Consumer Products: €16.090 billion (36.5%),Luxury Products: €15.595 billion (35.4%),Dermatological Beauty: €7.204 billion (16.4%),Professional Products: €5.163 billion (11.7%).L'Oréal manages over 40 international brands spanning the full price spectrum from mass to ultra-luxury.

Global Beauty Market: Mature, Steady Growth with Increasing Concentration. The global beauty market has entered a mature phase of stable expansion. Market size grew from USD 473.2 billion in 2016 to USD 677.19 billion in 2025 (CAGR 4.06%), and is projected to rise from USD 703.31 billion in 2026 to USD 799.07 billion in 2030 (CAGR 3.24%).Key structural trends include: Luxury/Prestige categories expected to grow at 7–9% CAGR (2023–2028), outperforming the overall market (~6%);Functional/efficacious skincare at 7–9% CAGR (vs. overall skincare 5–6%).The industry exhibits a clear Matthew effect: the top 10 players increased their combined global share by 5.2 percentage points from 2020 to 2024, reaching ≈38%.

L'Oréal's Five Mutually Reinforcing Competitive Moats. 1) R&D and Innovation Leadership;2) Broad and Well-Managed Brand Portfolio;3) Global Scale with Localized Execution;4) Comprehensive Omnichannel Coverage;5) Digital & Beauty Tech Advantage.

Growth Drivers: Organic Momentum + Strategic Acquisitions. Focus on high-growth categories and emerging markets:1) Dermatological Beauty (Strongest Engine) — driven by patented actives (Melasyl™, P-Tiox), cross-category scalp care expansion, and digital-first / city-by-city penetration in India, Mainland China, Southeast Asia, Latin America, and GCC. 2) Luxury Products — capturing fragrance structural upgrade and ultra-premium gaps via Creed and the €4 billion Kering beauty alliance (licensing Bottega Veneta, Balenciaga, Gucci, etc.).3) Bolt-on Acquisitions — continuously strengthening the global brand operating platform.

Valuation and Recommendation. We forecast 2026–2029 revenue at €46.055 / €48.398 / €50.953 billion and net profit at €6.786 / €7.382 / €7.932 billion. Using a DCF valuation model, we initiate coverage with an Outperform rating and a target price of €408.

Risk: Raw material price volatility; supply chain disruptions; intensified competition; shifts in consumer preferences.

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1 L'Oréal: Global Leader in Beauty & Personal Care

1.1 Company Overview

L'Oréal is a global leader in beauty, founded in 1909 and headquartered in France. Its core business encompasses a broad range of beauty products, including skincare, cosmetics, fragrances, hair colouring, and personal care. Over a century of scientific innovation, strategic expansion, and social responsibility, L'Oréal has established itself as the world's foremost beauty company. Its corporate development can be divided into six distinct phases:

Phase 1 — 1909–1956: Founding and Brand Building

Founder and chemist Eugène Schueller placed scientific innovation at the heart of the company, laying the groundwork for the L'Oréal brand. In 1909, he established the Société Française des Teintures Inoffensives pour Cheveux and introduced a mild hair dye called 'L'Auréale' (inspired by a popular hairstyle of the era). In 1934, the company launched the world's first soap-free shampoo; in 1935, it introduced Ambre Solaire, pioneering the suncare category; and in 1939, the company was officially renamed L'Oréal and relocated its headquarters to 14 Rue Royale, Paris.

Phase 2 — 1957–1983: Seizing Opportunities and Growth Through Acquisitions

Under Chairman François Dalle and his 'Seize the Moment' philosophy, the company focused on R&D and consumer needs, expanding through strategic acquisitions. L'Oréal listed on the Paris Stock Exchange in 1963 and went on to acquire brands including Mixa, Lancôme, Biotherm, and Laboratoires Garnier. Landmark product launches during this period included Kérastase haircare, the Lancôme Ô fragrance, Cacharel Anaïs Anaïs, Elsève shampoo, Garnier Ultra Doux, and the Plénitude Revitalift skincare line.

Phase 3 — 1984–1987: Deepening the 'Beauty Science' Strategy and Entering Men's Care

Under CEO Charles Zviak, the company made substantial investments in R&D. In 1984, it secured the Ralph Lauren fragrance licence for the US market; in 1985, Biotherm launched a men's skincare range; and in 1986, Vichy introduced men's skincare products.

Phase 4 — 1988–2005: Becoming the Undisputed Leader in Beauty

Under President Lindsey Owen-Jones, L'Oréal became the world's number-one cosmetics company through strategic acquisitions, including Helena Rubinstein, the Giorgio Armani fragrance licence, La Roche-Posay, Maybelline, Kiehl's, and SkinCeuticals. The group also launched the L'Oréal–UNESCO 'For Women in Science' international programme during this period.

Phase 5 — 2006–2021: Introducing the 'Beauty for All' Mission

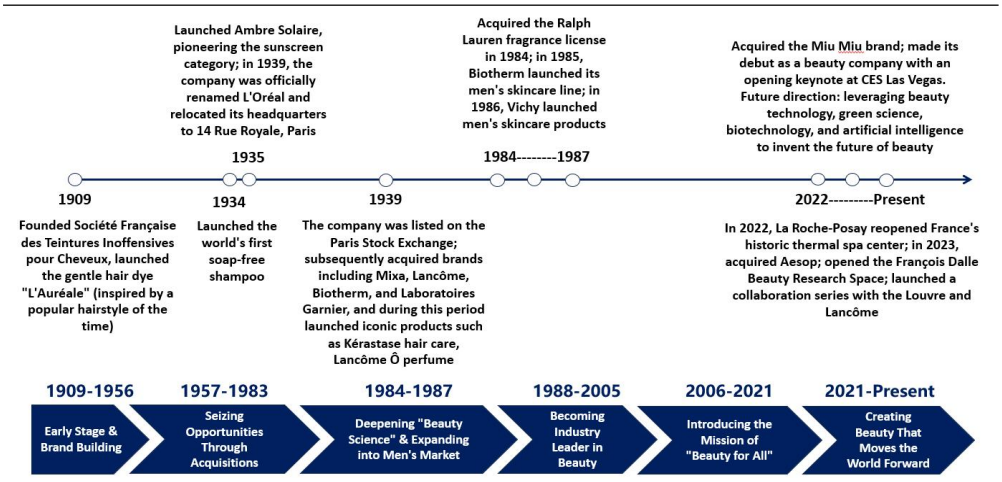
Under CEO Jean-Paul Agon, the group adopted a 'Beauty for All' mission, with an emphasis on diversity, inclusivity, and sustainable responsibility.

Phase 6 — 2021 to Present: Creating Beauty That Moves the World Forward

Under CEO Nicolas Hieronimus, the group focuses on high-quality, scientifically validated, and ethically produced products, accelerating its Beauty Tech and sustainability agenda. Key milestones include the reopening of the historic La Roche-Posay thermal centre in France (2022), the acquisition of Aesop (2023), the inauguration of the François Dalle Beauty Research Space, a collaboration with the Louvre and Lancôme, the acquisition of the Miu Miu licence (2024), and the

group's inaugural keynote address at CES Las Vegas as the first beauty company to do so. Looking ahead, L'Oréal aims to 'invent the beauty of the future' through Beauty Tech, green science, biotechnology, and artificial intelligence.

Figure: L'Oréal Corporate Milestones

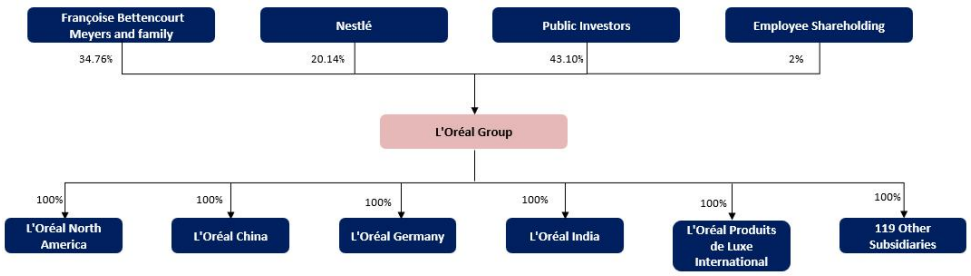


Source: L'Oréal Annual Reports, HFI

1.2 Ownership Structure & Management

L'Oréal's shareholder structure is characterised by considerable stability and concentrated family control. The largest shareholder is the Bettencourt Meyers family, holding 34.76% of shares. Nestlé is the second-largest shareholder with a 20.14% stake. Employee share ownership stands at 1.05%, with staff participating in the company's equity incentive scheme. The remaining shares are held by international and French institutional investors, providing a diversified shareholder base. This ownership structure ensures stable corporate governance while preserving the family's pivotal role in strategic decision-making.

Figure: L'Oréal Group Ownership Structure



Source: Company Financial Reports, HFI

L'Oréal's management structure consists of an effective Executive Committee and a Board of Directors. The Executive Committee is responsible for translating the Board's strategic direction into operational practice and managing the group's global operations; its members lead the group's various divisions, functional departments, and regional markets. The Board of Directors comprises a number of independent and experienced directors, including members of the founding family and external directors, ensuring transparency and independence in corporate governance.

L'Oréal's leadership team provides strong strategic support through a stable governance structure and diverse leadership, reinforcing the group's leading position in the global beauty industry and driving its continuous innovation and sustainable development.

Table: Senior Management Team

Name	Title	Age	Joined	Key Responsibilities
Nicolas Hieronimus	CEO	60	2021	Leads overall group strategy and operations; manages all business and functions per Board direction.
Barbara Lavernos	Deputy CEO	57	2021	Oversees group R&D, innovation and technology; participates in overall group leadership.
Christophe Babule	CFO	59	—	Oversees group financial management, accounting and financial strategy execution.
Ezgi Barcenas	Chief Corporate Responsibility Officer & Head of L'Oréal Foundation	40	—	Leads corporate social responsibility and L'Oréal Foundation initiatives.
Vincent Boinay	President, North Asia & CEO, China	57	—	Oversees North Asia regional business and China market operations.
Cyril Chapuy	President, L'Oréal Luxe	54	—	Leads global operations and strategy for the Luxe division.
Myriam Cohen-Welgryn	President, Dermatological Beauty	59	—	Leads global business for the Dermatological Beauty division.
Vianney Derville	President, Europe	57	—	Oversees group operations and growth across the European region.
Asmita Dubey	Chief Digital & Marketing Officer	51	—	Leads global digital transformation and marketing strategy.
Emmanuel Goulin	President, Travel Retail	48	—	Leads global travel retail business development.
David Greenberg	President, North America & CEO, USA	62	—	Oversees North America regional business and US operations.
Omar Hajeri	President, Professional Products	48	—	Leads global development of the Professional Products division.
Blanca Juti	Chief Corporate Affairs & Brand Engagement Officer	56	—	Leads corporate affairs, brand communications and stakeholder engagement.
Jean-Claude Le Grand	Chief Human Resources Officer	60	—	Oversees group HR systems and organisational development.
Fabrice Megarbane	Chief Global Growth Officer	50	—	Drives global growth strategy and business expansion.
Alexis Perakis-Valat	President, Consumer Products	53	—	Leads global operations of the Consumer Products division.
Ersi Pirishi	President, Latin America	60	—	Leads business development across the Latin America region.
Vismay Sharma	President, SAPMENA	53	—	Oversees South Asia Pacific, Middle East and North Africa operations.
Antoine Vanlaeys	Chief Operating Officer	56	—	Oversees global operations management for the group.

Source: Company Financial Reports, HFI

1.3 Core Product Categories

L'Oréal's core products span a wide range of beauty and personal care segments, encompassing skincare, colour cosmetics, hair care, fragrances, and hair colouring.

Skincare: L'Oréal's largest product category, covering the full price spectrum from mass to luxury. Core brands include L'Oréal Paris, Garnier, La Roche-Posay, CeraVe, and Vichy, with dermatology-focused brands registering especially strong growth.

Color Cosmetics: Another key business pillar, spanning face, eye, and lip make-up. Through internationally recognized brands such as Maybelline New York, NYX Professional Makeup, and L'Oréal Paris, the group commands a significant share of the global color cosmetics market.

Hair Care & Cleansing: L'Oréal's hair care portfolio includes shampoos, conditioners, and styling products, anchored by key brands such as L'Oréal Professional, Kérastase, and Redken. In the premium haircare segment, Kérastase and Redken attract a large affluent consumer base through innovative care solutions and professional formulations.

Fragrances: Fragrances remain an important component of L'Oréal's Luxe division, with brands including Yves Saint Laurent, Lancôme, Valentino, and Prada enjoying strong global reputations. In 2024, new launches such as Paradoxe (Prada), Libre (Yves Saint Laurent), and Born in Roma (Valentino) performed strongly, sustaining growth in the luxury fragrance market.

Hair Coloring: Hair coloring encompasses dyes and treatment products. Brands such as L'Oréal Professional and Garnier continue to drive this sub-segment. In 2024, new product launches including Garnier Color Sensation attracted broad consumer interest with their accessible price points and innovative formulations.

Other Beauty & Personal Care: L'Oréal's portfolio also covers nail care, body care, and personal hygiene. Through brands such as Biotherm, Mixa, and Yves Saint Laurent Beauty, the group continues to broaden its product offering to meet the needs of a wider consumer base.

Figure: L'Oréal Key Brands and Product Categories

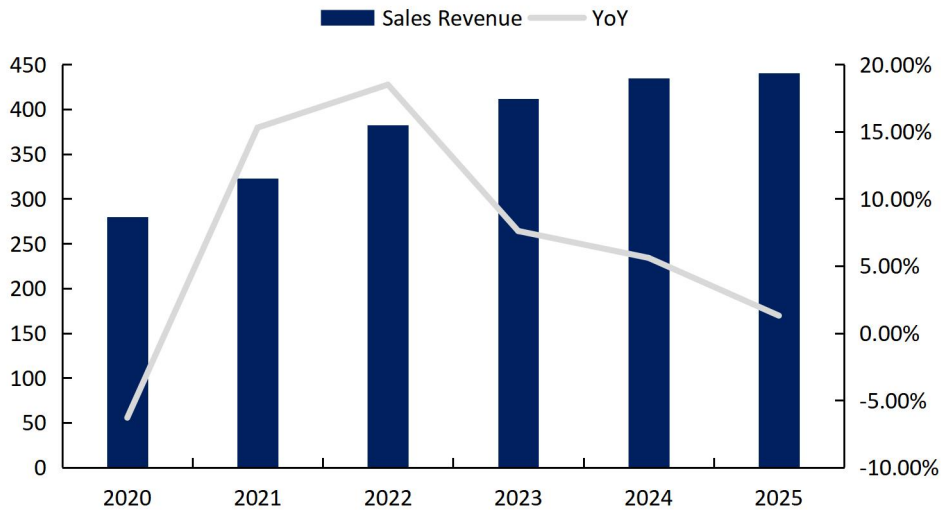
Product Type	Core Brand Names	Price Range
Skincare 	L'Oréal Paris , Garnier, CeraVe, La Roche-Posay, Vichy	€10–200 (Mass to Premium)
Colour Cosmetics 	Maybelline New York, NYX Professional Makeup, L'Oréal Paris	€5–50 (Affordable to Mid-Premium)
Haircare & Cleansing 	L'Oréal Professionnel, Kérastase, Redken, Matrix	€10–250 (Mass to Premium)
Hair Colouring 	Garnier, L'Oréal Professionnel	€5–100 (Affordable to Mid-Premium)
Fragrances 	Lancôme, Yves Saint Laurent, Valentino, Prada, Mugler	€30–300 (Mid-Premium to Luxury)
Other (Nail, Body Care, etc.) 	Essie, Mixa, Biotherm, Urban Decay	€5–100 (Mass to Premium)

Source: Company Financial Reports, HFI

1.4 Financial Performance

L'Oréal's revenue demonstrated consistent and healthy growth from 2019 to 2025. Group sales increased from €29.87 billion in 2019 to €44.05 billion in 2025, representing a CAGR of 6.7%, continuously reinforcing its position as the world's number-one beauty company. In 2020, the COVID-19 pandemic caused global beauty consumption to contract sharply, with group revenue declining 6.3% year-on-year to €27.99 billion. As restrictions eased in 2021, consumer demand rebounded strongly and revenue grew 15.3% to €32.29 billion. In 2022, despite elevated inflation and geopolitical disruption, the group maintained high-speed growth of +18.5%, reaching €38.26 billion, driven primarily by the Dermatological Beauty and L'Oréal Luxe divisions, and underpinned by the structural upgrading of global premium beauty demand. Revenue reached €41.18 billion in 2023 (+7.6% YoY), as cautious consumer sentiment in China weighed on North Asia, though strong performances in Europe and North America provided an effective offset. In 2024, group revenue reached €43.49 billion (+5.6% YoY); despite a -3.4% decline in North Asia, Latin America (+13.3%) and the SAPMENA region (+12.0%) emerged as key growth engines. Revenue grew further to €44.05 billion in 2025, up 1.3% reported (+4.0% organic at constant exchange rates), with the narrowing growth rate primarily attributable to currency headwinds from euro appreciation.

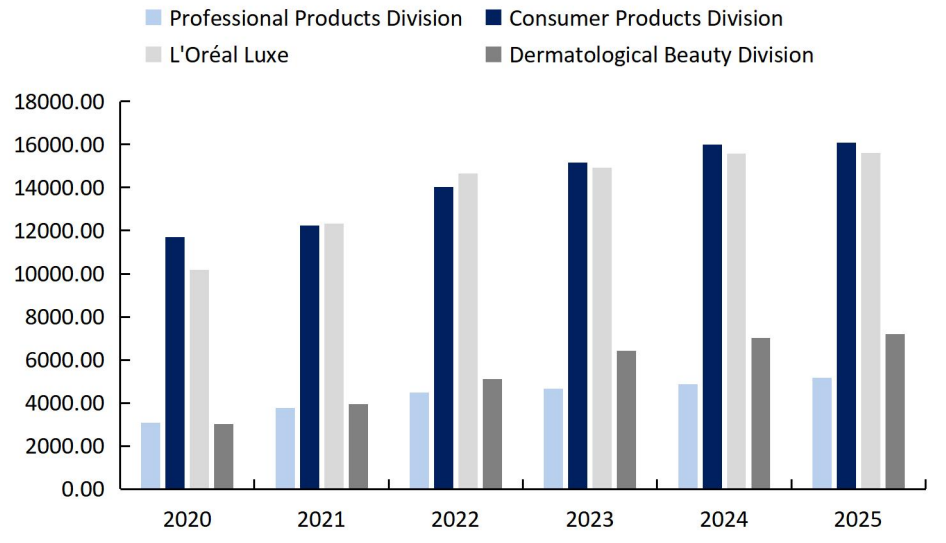
Figure: L'Oréal Revenue and Growth Rate 2020–2025 (€ million)



Source: Company Financial Reports, HFI

In terms of business structure, all four divisions contributed to group growth, though divergence was pronounced; the sustained high-speed expansion of the Dermatological Beauty Division represented the most significant structural change over the past six years. From 2020 to 2025, consolidated group sales grew from €27.99 billion to €44.05 billion, with a CAGR of 9.5%. Among the four divisions, the Dermatological Beauty Division achieved a CAGR of 19.1%, followed by Professional Products at 10.8%, L'Oréal Luxe at 8.9%, and Consumer Products at 6.6%. In terms of revenue mix, the Dermatological Beauty Division's share rose sharply from 10.8% in 2020 to 16.4% in 2025, while Consumer Products narrowed from 41.8% to 36.5%, reflecting the group's broader transition from volume-driven expansion to higher value-added growth.

Figure: L'Oréal Revenue by Division (€ million)

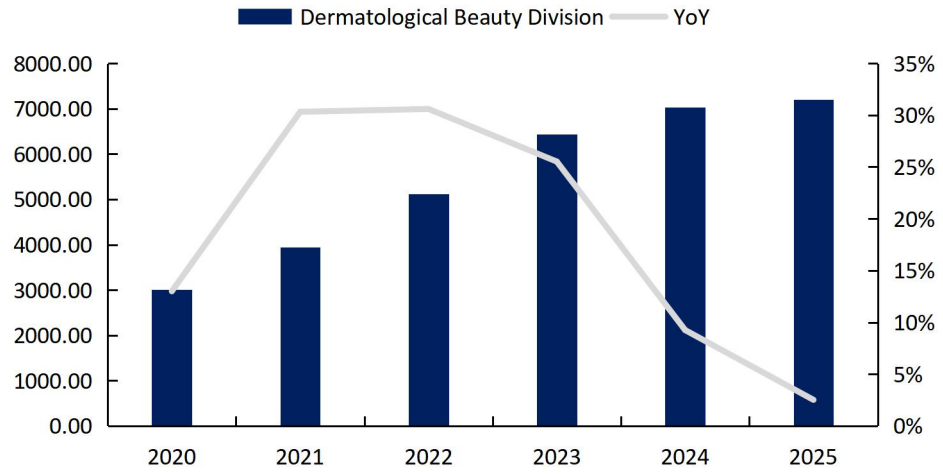


Source: Company Financial Reports, HFI

1) Dermatological Beauty Division

The fastest-growing and most profitable of the four divisions, with an operating profit margin of 26.1% in 2025. Revenue expanded from €3.01 billion in 2020 to €7.20 billion in 2025 (CAGR 19.1%). The division maintained approximately 30% annual growth in 2021–2022, more than doubling in scale over five years. Growth moderated to 25.5%, 9.3%, and 2.5% from 2023 to 2025 respectively, yet the division continues to lead the group and to significantly outperform in the North Asia market.

Figure: Dermatological Beauty Division Revenue 2020–2025 (€ million)

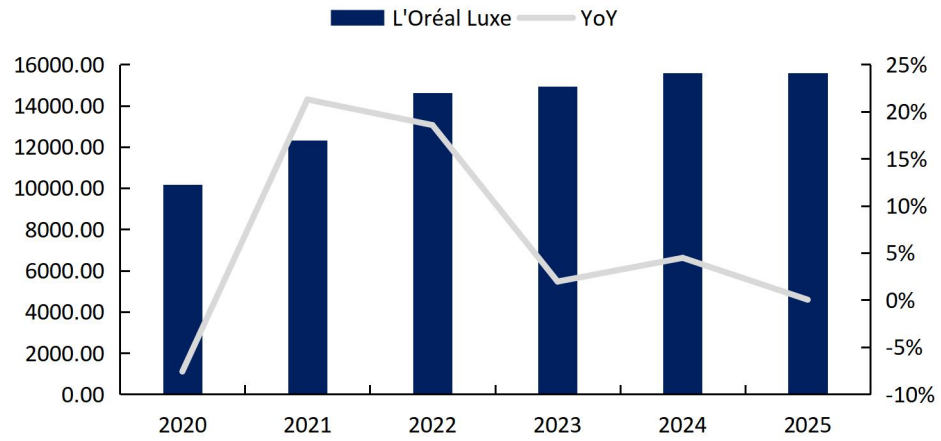


Source: Company Financial Reports, HFI

2) L'Oréal Luxe Division

L'Oréal Luxe generated revenue of €15.60 billion in 2025 (CAGR 8.9%) and became the group's largest division by revenue for the first time in 2021, surpassing the Consumer Products Division. Fragrances rebounded strongly, with luxury fragrance brands including YSL, Armani, and Prada growing more than 20% in 2022, driving the division to achieve 21.2% and 18.7% growth in 2021 and 2022 respectively. Growth narrowed significantly from 2023 to 2025, to 2.0%, 4.5%, and 0.0% respectively.

Figure: L'Oréal Luxe Revenue 2020–2025 (€ million)

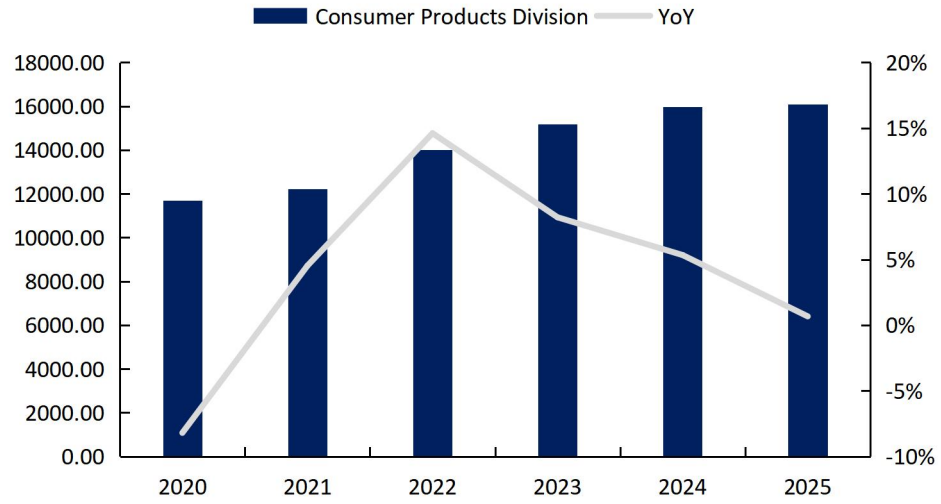


Source: Company Financial Reports, HFI

3) Consumer Products Division

The Consumer Products Division is the group's largest by volume, with revenue of €16.09 billion in 2025 (36.5% of total group revenue; CAGR 6.6%). Growth was relatively stable, with stronger performance in 2021–2022 (4.6% and 14.6% respectively) as color cosmetics demand recovered, before returning to the low-to-mid single-digit range of 8.2%, 5.3%, and 0.7% from 2023 to 2025.

Figure: Consumer Products Division Revenue 2020–2025 (€ million)



Source: Company Financial Reports, HFI

4) Professional Products Division

The Professional Products Division generated revenue of €5.16 billion in 2025 (CAGR 10.8%). The division was hit hardest by COVID-19 — widespread salon closures in 2020 caused a 10% revenue decline — but the crisis accelerated an e-commerce and omnichannel pivot, with the SalonCentric platform achieving breakthroughs in North America and Tmall in China. As salons reopened, the

division rebounded strongly in 2021 and 2022, with growth of 22.0% and 18.5% respectively. Growth normalized and even accelerated from 2023 to 2025 (4.0%, 5.0%, and 7.5%), with Kérastase having become the division's largest brand while maintaining double-digit growth and the premiumization strategy continuing to deliver steady momentum.

Figure: Professional Products Division Revenue 2020–2025 (€ million)



Source: Company Financial Reports, HFI

L'Oréal's profitability remained broadly steady from 2022 to 2025, with a moderate improvement across all key metrics.

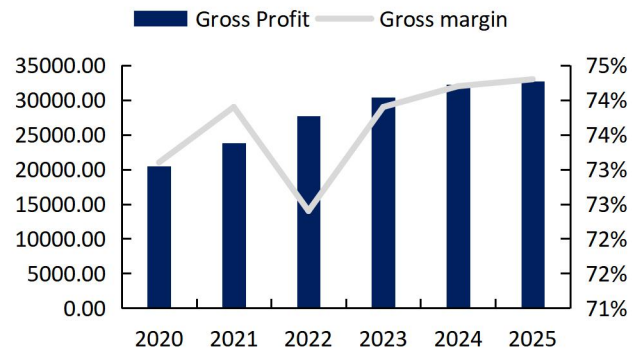
1) Gross Profit and Gross Margin: Group gross profit grew from €27.68 billion in 2022 to €32.74 billion in 2025 (three-year CAGR of 5.8%). The gross margin expanded continuously from 72.4% to 74.3%, a cumulative improvement of 1.9 percentage points, primarily driven by an ongoing product-mix shift towards higher value-added categories, favourable pricing dynamics, and disciplined purchasing and manufacturing cost management, partially offset by currency headwinds.

2) Expense Ratios: L'Oréal's cost structure remained broadly stable from 2022 to 2025. Advertising and promotion expenditure was consistently maintained in the range of 31%–33% of sales, R&D expenses held steady at 3.1% of sales, and the selling, general and administrative expense ratio edged up slightly from 18.4% in 2022 to 18.9% in 2024 before declining to 18.8% in 2025, as efficiency gains from regional restructuring began to materialise.

3) Operating Profit and Operating Margin: Operating profit grew from €7.46 billion in 2022 to €8.89 billion in 2025 (three-year CAGR of 6.0%), with the operating margin improving year by year from 19.5% to 19.8%, 20.0%, and 20.2% — setting a record high for four consecutive years. This reflects the combined effect of operating scale and leverage, demonstrating L'Oréal's dual-track approach of 'investing in brands while improving efficiency'.

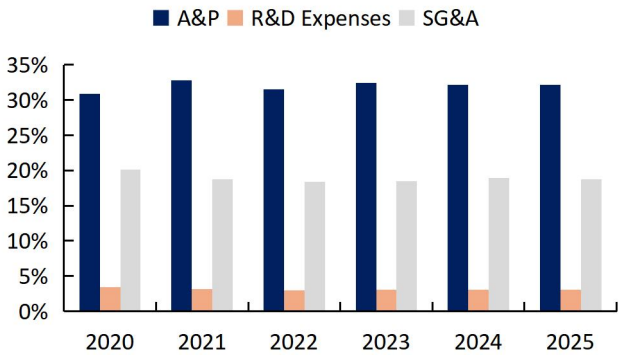
4) Net Profit: Net profit attributable to the parent company moved from €5.71 billion in 2022 to €6.13 billion in 2025, with the net profit margin maintained in the 14.7%–15.0% range. The 2025 net profit declined 4.4% year-on-year due to non-recurring impairment losses; excluding this item, adjusted net profit was €6.81 billion, up 0.3% YoY, reflecting robust underlying earnings quality.

Figure: L'Oréal Gross Profit and Gross Margin 2020–2025 (€ million)



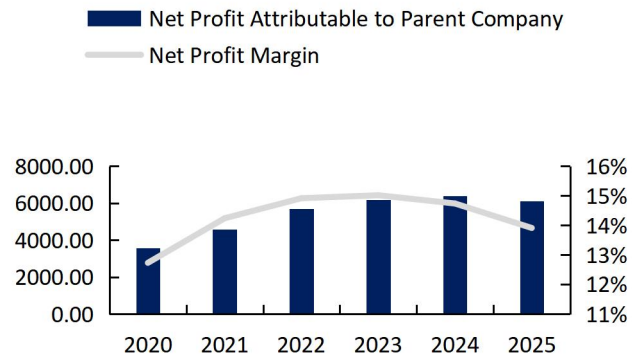
Source: Company Financial Reports, HFI

Figure: L'Oréal Expense Ratios 2020–2025



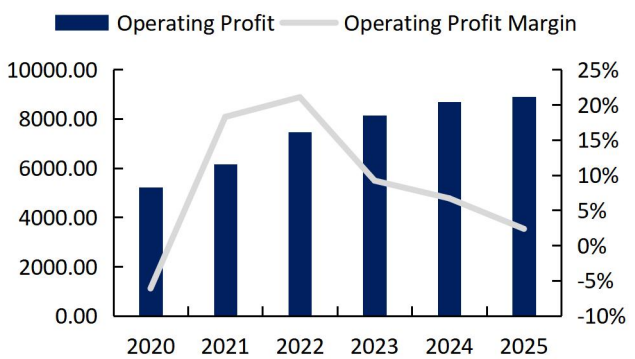
Source: Company Financial Reports, HFI

Figure: L'Oréal Net Profit and Net Margin 2020–2025 (€ million)



Source: Company Financial Reports, HFI

Figure: L'Oréal Operating Profit and Operating Margin 2020–2025 (€ million)



Source: Company Financial Reports, HFI

2 Global Beauty Market: Steady Upward Growth, Strong Players Maintain Dominance

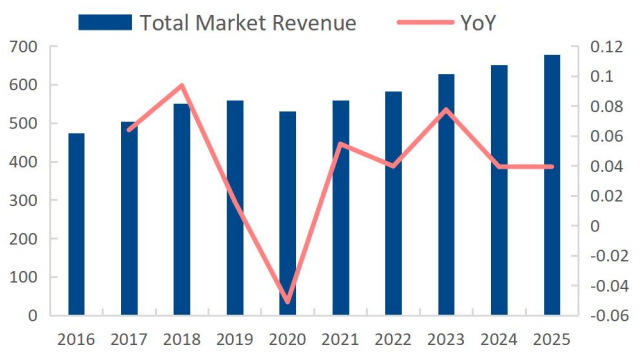
2.1 Stable Overall Growth, Outperformance in Premium Segment

The global beauty market has entered a relatively mature phase, with overall steady growth. According to data, the total size of the global beauty and personal care market increased from USD 47.32 billion in 2016 to USD 67.719 billion in 2025, representing a compound annual growth rate (CAGR) of approximately 4.06% over

the decade. Although market size saw short-term volatility in 2020 affected by external factors, it subsequently demonstrated strong recovery and rebound momentum.

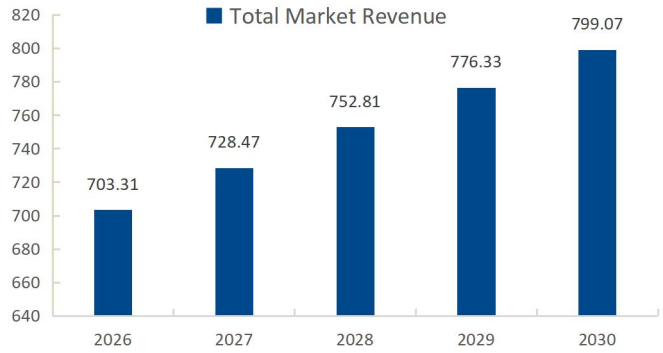
As the industry has become relatively mature, Statista projects that the global beauty market will expand further from USD 70.331 billion in 2026 to USD 79.907 billion in 2030, with a compound annual growth rate (CAGR) of 3.24% during the 2026–2030 period.

Figure: Global Beauty Market Size and YoY Growth, 2015–2025 (USD billions)



Source: Statista， HFI

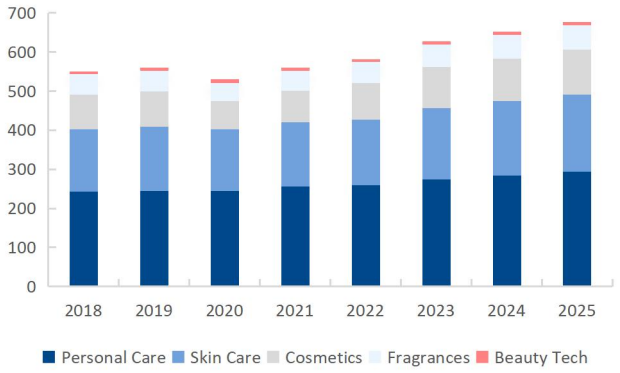
Figure: Estimated Global Beauty Market Size, 2026–2030 (USD billions)



Source: Statista， HFI

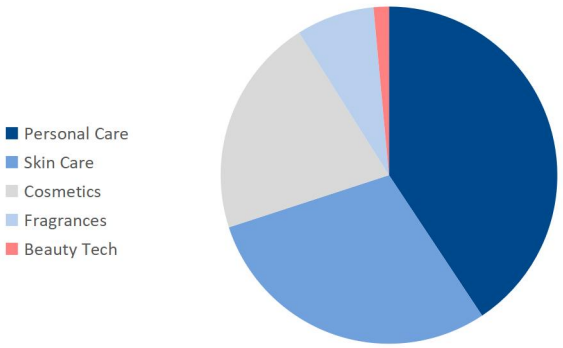
In terms of the segment structure of the global beauty market, personal care and skin care account for the core market share. In addition, segments exhibit significant divergence in their growth contribution. In terms of incremental contribution by segment, personal care is the primary driver of market expansion, with its size rising from USD 24.516 billion to USD 29.308 billion, contributing 40.66% to the total incremental growth. Skin care follows closely, with an increment of USD 3.456 billion during the period and a growth contribution of 29.32%. Color cosmetics, the third-largest source of growth, expanded from USD 8.989 billion to USD 11.469 billion, with a contribution of 21.04%. Fragrance and beauty tech contributed 7.49% and 1.47% of the market incremental share, respectively, between 2019 and 2025.

Figure: Global Beauty Market Size by Category, 2018–2025 (USD billions)



Source: Statista， HFI

Figure: Growth Contribution of Each Segment to the Global Beauty Market, 2019–2025

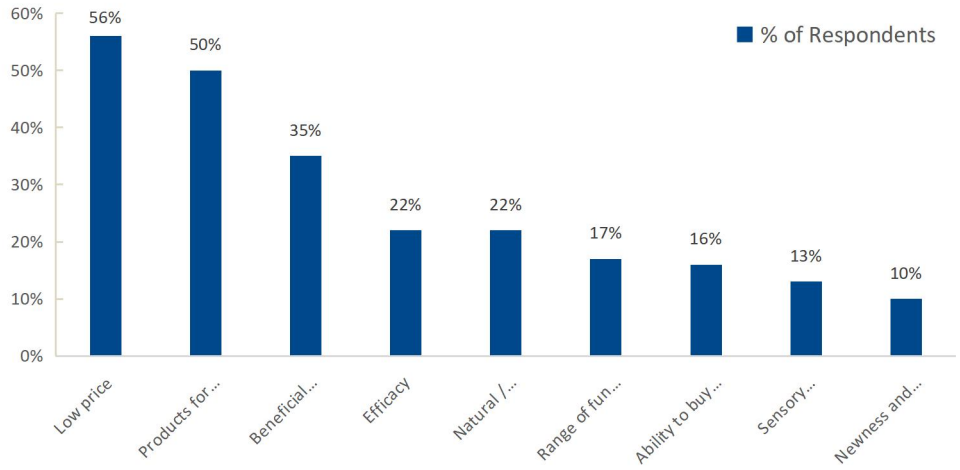


Source: Statista， HFI

In terms of product categories, science-backed high-efficacy products are leading the market into a phase of structural expansion amid stock competition. The growth focus of the skin care market is shifting rapidly toward the high-efficacy segment.

Furthermore, shifting demand among young consumers forms the long-term driver of this growth. According to the Numerator 2024 Beauty Trends Report, when Gen Z purchases personal care and skin care products, their emphasis on "products for specific needs" (50%) and "beneficial ingredients" (35%) is significantly higher than the average. "Efficacy" (22%) and "natural/organic ingredients" (22%) also rank high, while experiential factors (e.g., sensory experience 16%, novelty 10%) are relatively lower. Such consumption preferences, rooted in scientific validation and targeted pain-point solutions, have become a key driver for skin care categories to achieve differentiated competition and maintain premium pricing in the stock era.

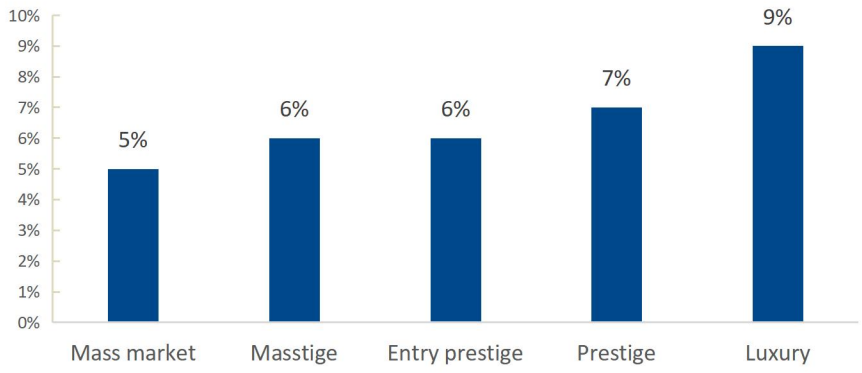
Figure: Top Considerations for Gen Z When Purchasing Personal Care and Skin Care Products



Source: Numerator， HFI

In terms of growth trends across price tiers, the high-end market has generally outpaced the mass market. According to McKinsey projections, the high-price segment will grow faster than the overall market between 2023 and 2028. Among them, the Luxury and Prestige categories demonstrate the strongest growth momentum, with compound annual growth rates (CAGR) of 9% and 7% respectively, both exceeding the overall market average of 6%.In comparison, the Entry prestige and Masstige categories show steady growth, each with a CAGR of 6%, in line with the market average. The Mass market segment grows at a more moderate pace, with a CAGR of 5%.

Figure: Projected CAGR of Global Beauty Market by Price Tier, 2023–2028

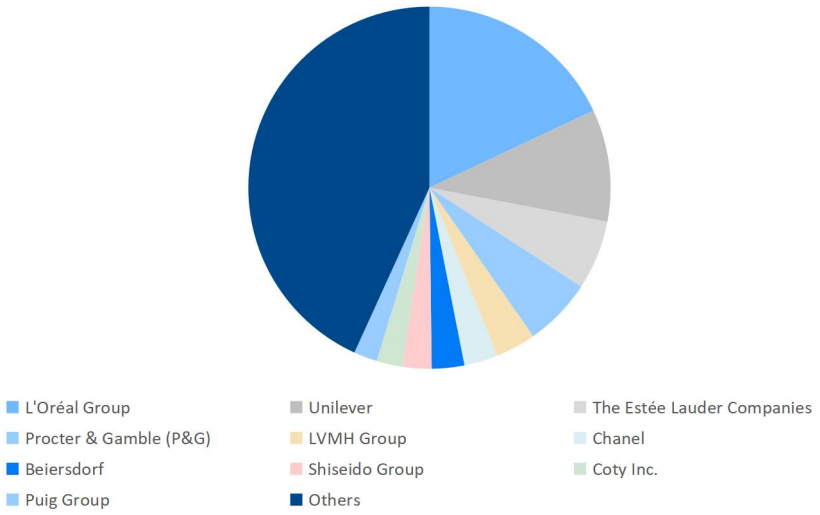


Source: McKinsey， HFI

2.2 Competitive Landscape: Significant Matthew Effect

From a global perspective, the global beauty market has witnessed substantial structural divergence over the past five years, with a growing trend toward industry consolidation. The top ten beauty companies account for approximately 38% of the global market share, representing an increase of 5.2 percentage points compared with 2020, as resources and growth continue to concentrate among leading enterprises. As the industry leader, L'Oréal Group has demonstrated remarkable growth resilience, with its global market share rising from 15.8% in 2020 to 18.0% in 2024, firmly ranking first worldwide.

Figure: Market Share of Leading Global Beauty Companies, 2024 (%)



Source: Euromonitor， HFI

L'Oréal's brands have achieved outstanding market share performance across various segments:

1) In the global mass beauty and personal care market, L'Oréal Group has continuously consolidated its leading position through a multi-brand portfolio. According to Euromonitor data, the Group's aggregated corporate share in this segment rose steadily from approximately 8.1% in 2019 to about 9.4% in 2024, representing a cumulative increase of 1.3 percentage points over five years.
Among its brands, L'Oréal Paris, as the top mass-market brand, edged up from 4.3% to 4.6% and has ranked first for six consecutive years. Garnier grew from 2.0% to 2.2%, supported by the iteration of natural, affordable, and effective products. Maybelline New York remained stable at around 1.5%. Such steady growth in market share was mainly driven by L'Oréal's deep penetration in digital channels, which significantly improved brand reach and conversion among young consumers.

Figure: Market Share of the Top 10 Brands in the Global Mass Beauty & Personal Care Market, 2019–2024 (%)

Brand Name	2019	2020	2021	2022	2023	2024
L'Oréal Paris	4.3	4.4	4.6	4.5	4.6	4.6
Nivea	3.3	3.2	3.3	3.2	3.4	3.5
Dove	2.8	2.9	2.9	3	3	3.1
Garnier	2	2	2	2.1	2.2	2.2
Natura	1.6	1.5	1.5	1.7	1.9	2
Pantene	1.6	1.7	1.7	1.7	1.7	1.7
Maybelline New York	1.6	1.3	1.4	1.5	1.5	1.5
Head & Shoulders	1.4	1.4	1.4	1.4	1.3	1.3
O Boticário	1	0.8	0.7	1	1.2	1.2
Olay	1.2	1.3	1.3	1.3	1.2	1.2

Source: Euromonitor， HFI

2) In the global high-end beauty and personal care market, L'Oréal Group has maintained a steady and rising market share. According to Euromonitor data, the combined share of the Group's brands increased from 8.4% in 2019 to 10.0% in 2024, representing a rise of 1.6 percentage points over five years, and among the top five brands, Lancôme (owned by the Group) remained stable at 4.2% and retained its leading position, Chanel rose from 3.2% to 3.6%, Christian Dior edged up slightly from 3.0% to 3.1%, La Roche-Posay (owned by the Group) grew significantly from 1.6% to 2.8%, climbing to fourth place, and Estée Lauder declined from 3.5% to 2.8%, with two major brands of the Group together contributing approximately 7.0% of the market share, and the increase in L'Oréal's share was mainly driven by the recovery of high-end consumption in the Asia-Pacific region and growing consumer preference for products combining luxury and efficacy.

Figure: Market Share of the Top 10 Brands in the Global High-End Beauty & Personal Care Market, 2019–2024 (%)

Brand Name	2019	2020	2021	2022	2023	2024
Lancôme	4.2	4.5	4.6	4.6	4.4	4.2
Chanel	3.2	3.1	3.3	3.5	3.6	3.6
Christian Dior	3	2.9	3.1	3	3.1	3.1
La Roche-Posay	1.6	1.8	1.9	2.1	2.6	2.8
Estée Lauder	3.5	3.7	3.6	3.4	3	2.8
Clinique	2.4	2.2	2.1	2.1	2.1	2
Yves Saint Laurent	1.4	1.3	1.4	1.6	1.7	1.7
Mac	2.1	1.7	1.6	1.7	1.7	1.6
Shiseido	1.8	1.9	1.9	1.8	1.6	1.6
Clarins	1.5	1.5	1.4	1.5	1.4	1.4

Source: Euromonitor， HFI

3）In the global high-efficacy skin care market, L'Oréal Group's brands hold a significantly leading position. L'Oréal Group's brands have shown rapid growth in market share, rising from approximately 19.9% in 2019 to about 31.5% in 2024, representing a cumulative increase of 11.6 percentage points over five years, with the combined share of its brands accounting for nearly one-third of the market. Among the top five brands, the Group's brands performed prominently: La Roche-Posay rose from 11.1% to 15.0%, firmly maintaining its first position; CeraVe achieved explosive growth from 2.7% to 11.7%, jumping to second place; Vichy slightly decreased from 6.1% to 4.8% but remained in the top five. This performance is mainly attributed to CeraVe and La Roche-Posay accurately capturing young consumers through clinically proven ingredients and social media promotion, thereby consolidating and strengthening their market positions.

Figure: Market Share of the Top 10 Brands in the Global High-Efficacy Skin Care Market, 2019–2024 (%)

Brand Name	2019	2020	2021	2022	2023	2024
La Roche-Posay	11.1	10.9	11.6	12.2	14.1	15
CeraVe	2.7	5.3	7.5	9.4	11.4	11.7
Neutrogena	-	-	-	-	9.9	9
Vichy	6.1	5.6	5.1	4.7	4.6	4.8
Avene	6.7	5.6	6	5.3	4.9	4.8
Eucerin	4.1	4.1	4	4.3	4.5	4.5
Cetaphil	3.6	4	3.7	4.2	4.1	4.3
Aveeno	-	-	-	-	3.5	3.3
Winona	2	2.7	3.3	3.8	3.5	3.3
Bioderma	4	3.7	3.5	3.4	3.2	3.1

Source: Euromonitor， HFI

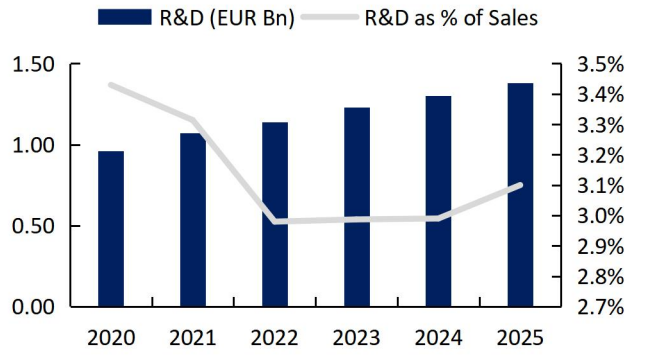
3 Five Core Competitive Strengths Building a Corporate Moat

As the undisputed leader in the global beauty industry, L'Oréal Group has built five deep competitive barriers since its founding in 1909: strong R&D and innovation capabilities, brand portfolio and brand management, globalized operations and localization strategy, broad omnichannel coverage, and digital and data-driven capabilities. These five barriers mutually reinforce one another, creating a flywheel effect that has enabled the group to consistently outperform the global beauty market over the past fifteen years.

➢ **Strong R&D and Innovation Capabilities**

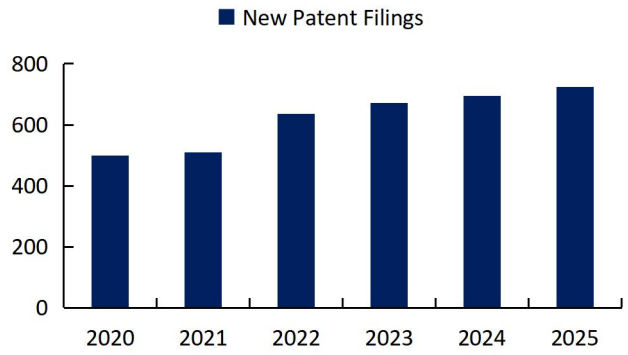
L'Oréal is the highest R&D investor in the global beauty industry, with R&D expenditure exceeding EUR 1.3 billion in 2025 (approximately 3.1% of sales), far surpassing its major competitors. The group operates 21 R&D and innovation centres across 7 countries, employing over 4,000 scientists (85 nationalities, 70% women). In 2024, the group filed 694 patent applications (52% completed by female inventors) and launched over 3,600 new formulations, continuously introducing efficacy-driven active ingredients — from Pro-Xylane to the Melasyl anti-hyperpigmentation molecule, from UVMune 400 sunscreen technology to the Cell BioPrint proteomics-based skin analysis system.

Figure: L'Oréal R&D Investment 2020–2025



Source: Company Annual Reports, HFI

Figure: Annual Patent Applications 2020–2025(units)



Source: Company Annual Reports, HFI

➢ **Rich Brand Portfolio and Strong Brand Management Capabilities**

Through continuous acquisitions and disciplined brand management, the group has assembled a portfolio of 40 international brands spanning four divisions and covering the full price spectrum from mass to ultra-luxury. In 2024, Consumer Products (EUR 15.44 billion) and L'Oréal Luxe (EUR 14.92 billion) each accounted for approximately 35% of total revenue, with Dermatological Beauty (EUR 7.05 billion) and Professional Products (EUR 4.72 billion) providing effective complementary coverage. Of the approximately 40 brands in the group's portfolio, organic brands include L'Oréal Paris (1909), L'Oréal Professionnel, and Kérastase (1964), while the vast majority were acquired. Among organic brands, L'Oréal Paris has grown over 116 years to become the world's number-one beauty brand, and Kérastase became the Professional Products division's largest brand in 2024 while maintaining double-digit growth. In terms of acquisition and integration, the group has demonstrated outstanding capability in scaling regional brands into global

leaders: Maybelline was acquired in 1996 for USD 758 million and, after approximately 25 years of global operations, became the world's number-one colour cosmetics brand; CeraVe was acquired in 2017 for USD 1.3 billion with annual revenue of approximately USD 168 million at the time, and just seven years later in 2024 surpassed EUR 2 billion in brand revenue — a more than 12-fold increase; La Roche-Posay has grown from a French regional dermo-cosmetics brand since its acquisition in 1989 into the world's third-largest skincare brand. This brand management flywheel of "acquire → empower with global distribution and R&D platform → scale up" underscores the group's formidable platform-based operating capabilities.

Figure: Key Acquisition Timeline and Growth Trajectories

Brand	Acquisition Year	Acquisition Price	Strategic Rationale	Current Market Position	Growth Trajectory
Lancôme	1964	—	French Luxury Brand	Global Top-Tier Prestige Beauty Brand	60 Years of Sustained Leadership
Garnier	1965	—	French Haircare Brand	Global Leading Mass Beauty Brand	60 Years
Helena Rubinstein	1988	—	American Prestige Brand	Ultra-Premium Skincare Positioning	37 Years
La Roche-Posay	1989	—	French Dermo-Cosmetic Brand	World's #3 Skincare Brand	36 Years
Redken	1993	—	American Professional Haircare	#1 Professional Haircare Brand in the US	32 Years
Maybelline	1996	$758M	American Mass-Market Makeup	World's #1 Makeup Brand	28 Years to #1
Kiehl's	2000	—	NYC Niche Apothecary	Globally Recognized Prestige Skincare Brand	25 Years
SkinCeuticals	2005	—	American Medical-Grade Skincare	Leader in Medical-Grade Vitamin C Serums	20 Years
YSL Beauté	2008	$1.8B	Fashion House Beauty License	Core of Couture Brand Portfolio; MYSLF Men's Fragrance Global Hit	17 Years
Essie	2010	—	American Nail Polish Brand	Category Leader in Nail Color	15 Years
NYX	2014	—	American Indie Makeup Brand	Global Leading Professional Makeup Brand	11 Years
CeraVe	2017	$1.3B	Revenue ~$168M at Acquisition	Gen Z's #1 Skincare Brand	12x Revenue Growth in 7 Years
Aēsop	2023	$2.53B	Australian Ultra-Luxury Brand	Rapid Global Expansion Underway	2 Years (Integration Ongoing)

Source: Company Annual Reports, HFI

➢ **Globalized Operations and Localization Strategy**

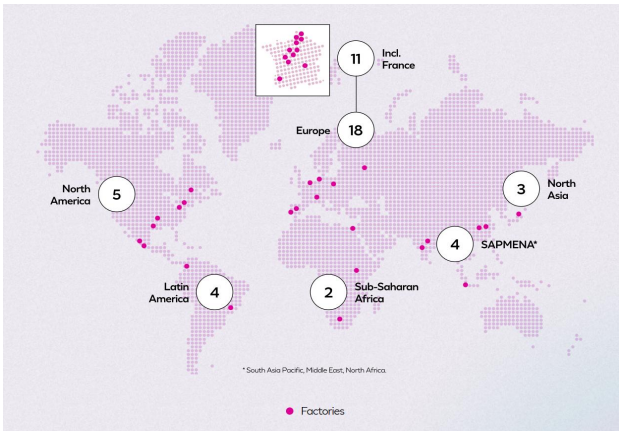
The group operates in more than 150 countries, with 36 manufacturing facilities and 21 R&D centers. It has a dedicated R&D center in China and manufacturing plants in Suzhou and Yichang, established a new R&D and innovation center in India in August 2024, and develops dedicated products for Brazil's diverse hair types.

Figure: Distribution of L'Oréal Research Centres 2020–2025



Source: Company Annual Reports, HFI

Figure: Distribution of L'Oréal Manufacturing Facilities 2020–2025

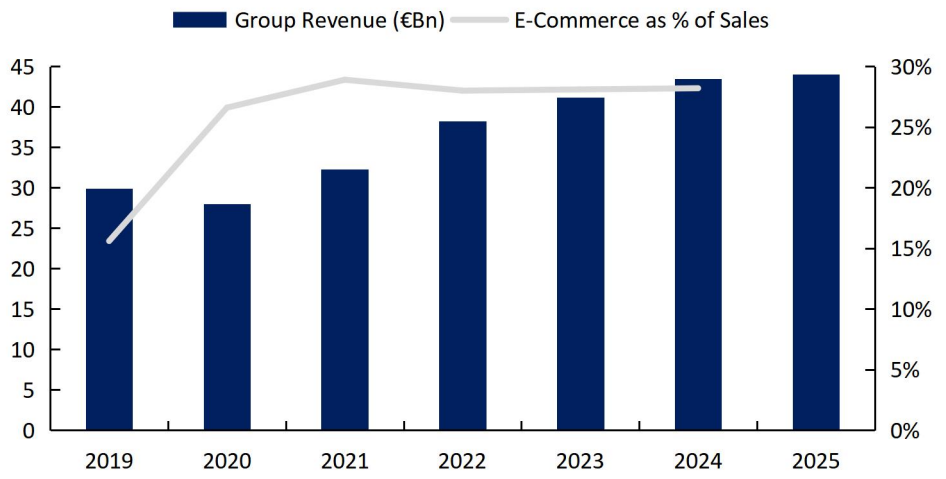


Source: Company Annual Reports, HFI

➢ **Broad Channel Coverage**

L'Oréal is one of the very few beauty companies with deep coverage across all six major channels: pharmacies, department stores, supermarkets, professional hair salons, e-commerce platforms, and proprietary DTC channels. Different divisions precisely match channels to their core customer segments: Consumer Products targets supermarkets, drugstores, and e-commerce platforms; L'Oréal Luxe controls brand positioning through department store counters, brand boutiques, and travel retail; Professional Products uses approximately 400,000 hair salons as its core base while expanding into e-commerce and selective retail; and Dermatological Beauty anchors in pharmacies and drugstores as its core prescription channel, extending into e-commerce. In the Professional Products division, Kérastase's "salon experience → online repurchase" consumer loop drives double-digit growth, with the division's market share reaching a record 26% in 2024; in Dermatological Beauty, CeraVe leveraged a combination of TikTok social media marketing and drugstore distribution to grow from under USD 200 million at acquisition to over EUR 2 billion within seven years. The quantified evidence of channel capability is that e-commerce's share of group revenue rose from 15.6% in 2019 to 28.2% (EUR 12.3 billion) in 2024, surpassing 30% in 2025.

Figure: L'Oréal E-Commerce Revenue as a Percentage of Total Sales



Source: Company Annual Reports, HFI

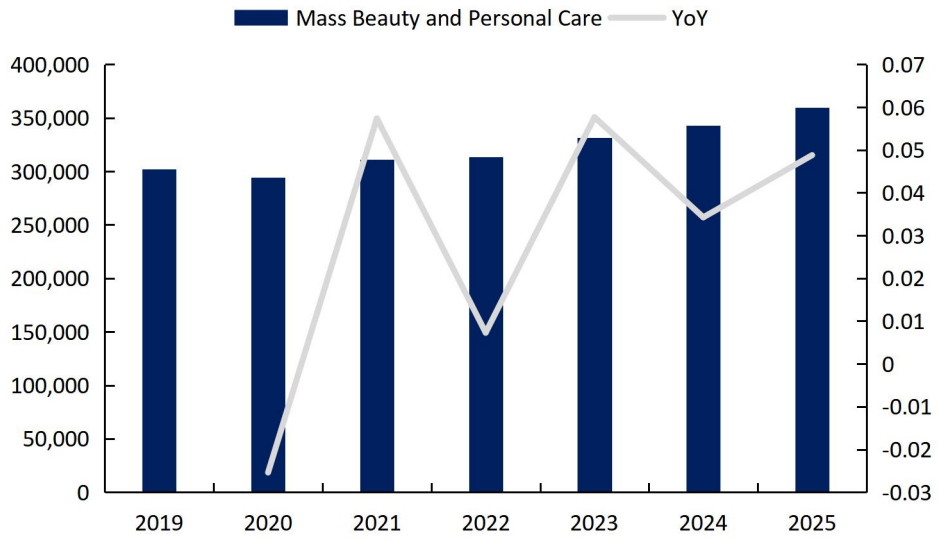
➢ **Digital and Data-Driven Capabilities**

In 2018, the group acquired AR/AI company ModiFace, formally launching its Beauty Tech strategy and evolving its ambition from "beauty for all" to "beauty for each". The group now employs over 8,000 digital and technology specialists and has accumulated 14,500 TB of data assets. On the consumer side, ModiFace's virtual try-on was used more than 110 million times in 2024. On the R&D side, the group unveiled the Cell BioPrint proteomics-based skin diagnostic device at CES 2025 and partnered with IBM to develop AI-powered formulation models. The Beauty Tech strategy has directly driven e-commerce's share of total sales from approximately 11% in 2018 to over 30% in 2025, with digital capabilities having evolved from a marketing tool into a core competitive barrier.

3.1 Consumer Products Division: Premium Technology at Accessible Prices, Deep Channel Penetration

The global mass beauty market reached approximately USD 360 billion in 2025, with sustained growth over the past five years. It is the largest sub-segment in the beauty industry by volume and breadth of consumer reach. Key market characteristics include relatively high price sensitivity (core price points of €5–30), low consumer switching costs, high e-commerce penetration (over 40% in the US market), and significant influence of social media and KOLs on purchasing decisions.

Figure: Global Mass Beauty Market Size 2019–2025 (USD million)



Source: Company Annual Reports, HFI

The Consumer Products Division manages a portfolio of more than ten international brands. Core brands include: L'Oréal Paris (founded in 1909, the world's number-one beauty brand, covering skincare, colour cosmetics, haircare, and hair colouring); Maybelline New York (acquired in 1996, the world's number-one colour cosmetics brand); Garnier (acquired in 1965, focused on natural plant-based skincare and haircare); NYX Professional Makeup (acquired in 2014, democratising professional makeup); Essie (acquired in 2010, the leading nail colour brand); and Mixa (the fastest-growing brand in 2024, expanding in the European market). In December 2024, the division also acquired Korean dermatological brand Dr.G, entering the K-Beauty segment.

Figure: Consumer Products Division Brand Portfolio

Brand	Founded / Acquired	Positioning	2024 Key Highlights	Hero Products
L'Oréal Paris	Founded 1909	World's #1 Beauty Brand; Full Category Coverage	Outstanding Year Across All Categories	Revitalift, Panorama Mascara, Elvive Glycolic Gloss
Maybelline New York	Acquired 1996	World's #1 Makeup Brand	Teddy Tint Breakout Success	Lash Sensational, Superstay, Fit Me
Garnier	Acquired 1965	Natural & Plant-Based Skincare and Haircare	Vitamin C UV Sunscreen Mass Adoption	Fructis, Good Hair Color
NYX Professional Makeup	Acquired 2014	Democratizing Professional Makeup	Outperformed Broader Makeup Market	Fat Oil, Duck Plump, Butter Melt
Mixa	Proprietary Brand	Baby / Body / Facial Care	Fastest-Growing Brand in the Division	Hyalurogel, Sensitive Skin Range
Essie	Acquired 2010	Category Leader in Nail Color	—	Gel Couture, Expressie
Dr.G	Acquired 2024	Korean Dermo-Mass	Entry into K-Beauty Segment	K-Beauty Skincare

Source: Company Annual Reports, HFI

Using L'Oréal Paris as an example, the brand penetrates the market through deep channel investment and premium technology at accessible price points, combining tailored channel and product strategies suited to consumer purchasing habits in different regions. L'Oréal Paris is positioned as "high-quality beauty made accessible through science", targeting women across all age groups (and an increasingly significant male audience), with distinct product lines for each consumer sub-segment. In skincare, the Revitalift range (featuring hyaluronic acid, retinol, and other active ingredients) serves as the flagship; the Bright Reveal range launched in 2024 was the first to bring the group's proprietary Melasyl molecule to the mass market. In haircare, Elvive Glycolic Gloss, with its proprietary glycolic acid technology, has become the number-one haircare brand in Brazil. In China, the division has stepped up investment in online channels through collaborations with leading KOLs; in India, the Glycolic Bright affordable brightening range has been launched; in Brazil, sachet single-use packaging is used to penetrate lower-tier markets; and Garnier Vitamin C Daily UV promotes daily sun protection habits at accessible price points.

Figure: L'Oréal Paris Brand Overview

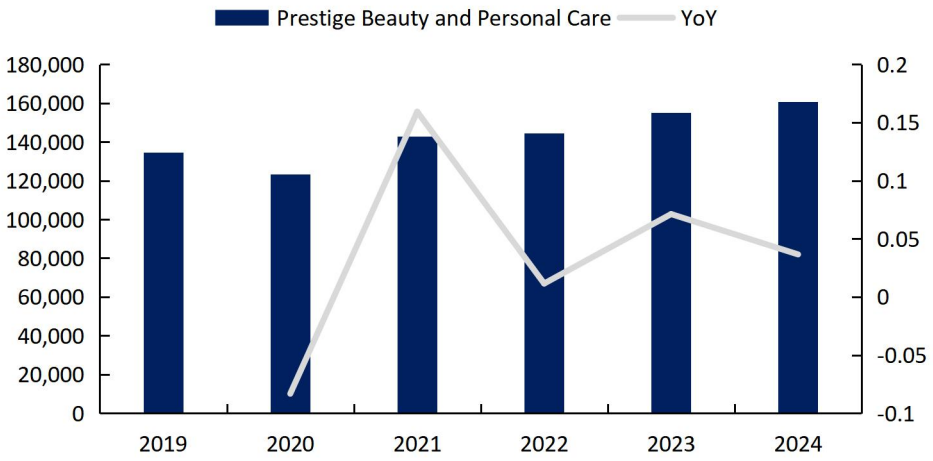
Category	Hero Products	2024 Innovation Highlights	Channel Mix
Skincare	Revitalift HA, Glycolic Bright Serum, UV Defender	Glycolic Bright Range (Melanin-targeting molecule)	Mass Retail + E-Commerce
Makeup	Panorama Mascara, Infallible Series, Color Riche	Panorama Mascara: #1 Global New Product Launch by Sales	Mass Retail + E-Commerce
Haircare	Elvive Glycolic Bright, Hyaluronic Acid Series, Dream Sleek	Elvive: #1 Haircare Brand by Sales in Brazil	Mass Retail + E-Commerce
Hair Color	Excellence Créme, Préférence, Colorsonic	Colorsonic: AI-Powered At-Home Hair Color Device	Mass Retail + DTC
Men's	Men Expert	Continued Expansion of Men's Grooming Portfolio	Mass Retail + E-Commerce

Source: Company Annual Reports, HFI

3.2 L'Oréal Luxe Division: Strong Brand-Building Capabilities Establish Brand Premium

The global luxury beauty market reached approximately USD 160 billion in 2024, maintaining growth over the past four years. Core consumers in this market place high value on brand narrative, brand heritage, and experience, with brand loyalty significantly higher than in the mass market and relatively lower price elasticity. The premiumization trend has been the most important structural variable in the global beauty market over the past five years, particularly pronounced in the fragrances category.

Figure: Global Luxury Beauty Market Size 2019–2024 (USD million)



Source: Company Annual Reports, HFI

L'Oréal Luxe manages the most recognizable portfolio of luxury beauty brands globally. By brand type: Lifestyle brands include Lancôme (acquired in 1964, the division's flagship) and Kiehl's (acquired in 2000). Couture brands include YSL Beauté (acquired in 2008), Giorgio Armani (licensed since 1988), Prada Beauty (licensed since 2019), Valentino Beauty (licensed since 2019), Maison Margiela, and Miu Miu (licensed since 2024). The ultra-luxury tier includes Aēsop (acquired in 2023 for USD 2.53 billion). Efficacy skincare brands include Medik8 (acquired in 2025) and Takami (acquired in 2023). Furthermore, the acquisition of Kering Beauté, completed in October 2025, added Creed and brands including Gucci and Balenciaga to the portfolio.

Figure: L'Oréal Luxe Brand Portfolio

Brand	Type	Year	Hero Products	2024 Key Highlights
Lancôme	Lifestyle	Acquired 1964	Absolue, Teint Idole, La Vie est Belle	Flagship Brand; Top 3 Prestige in China
Giorgio Armani Beauty	Couture	Licensed 1988	Luminous Silk Foundation, Sì, Privé	—
Helena Rubinstein	Prestige	Acquired 1988	Re-Plasty, Powercell	Ultra-Premium Skincare Positioning
YSL Beauté	Couture	Acquired 2008	MYSLF, Libre, Loveshine	MYSLF Becomes Global Fragrance Blockbuster
Kiehl's	Lifestyle	Acquired 2000	Ultra Facial Cream, Midnight Recovery	—
Prada Beauty	Couture	Licensed 2019	Paradoxe, Paradigme	Valentino & Prada Drive Couture Category Growth
Valentino Beauty	Couture	Licensed 2019	Born in Roma, Donna Born in Roma	Strong Expansion across North Asia
Aēsop	Ultra-Luxury	Acquired 2023	Resurrection, Marrakech	42 New Store Openings in 2024 (incl. 13 in China)
Maison Margiela	Couture	—	Replica Collection	Niche Fragrance Growth
Miu Miu Beauty	Couture	Licensed 2024	Miutine (Launch 2025)	Targeting Gen-Z Consumers
Medik8	Skincare	Acquired 2025	Crystal Retinal	—

Source: Company Annual Reports, HFI

The brands in this division command powerful premiums through unique brand stories and innovative technology, demonstrating the group's exceptional brand-building capabilities. Taking Lancôme as an example: founded in 1935 and acquired by L'Oréal in 1964, Lancôme is positioned around French elegance and cutting-edge science, ranking as a leading luxury beauty brand in 130 global markets. At the brand narrative level, Lancôme uses the rose as its inspirational symbol — drawn from the château at Lancosme — and conveys an ethos of elegance and confidence through global celebrity ambassadors including Julia Roberts and Zendaya. At the product technology level, the Génifique serum deploys the group's proprietary Bifidus fermentation technology, and the Absolue range targets ultra-luxury anti-ageing using Pro-Xylane and rose extract, translating the group's EUR 1.38 billion annual R&D investment into product differentiation. In terms of channel management, Lancôme strictly limits distribution to premium channels — department store counters, brand boutiques, and official e-commerce — maintaining a unified brand positioning. This is validated by the L'Oréal Luxe division's overall operating profit margin of 22.3% in 2024, confirming the sustainability of brand premium.

Figure: Lancôme Brand Overview

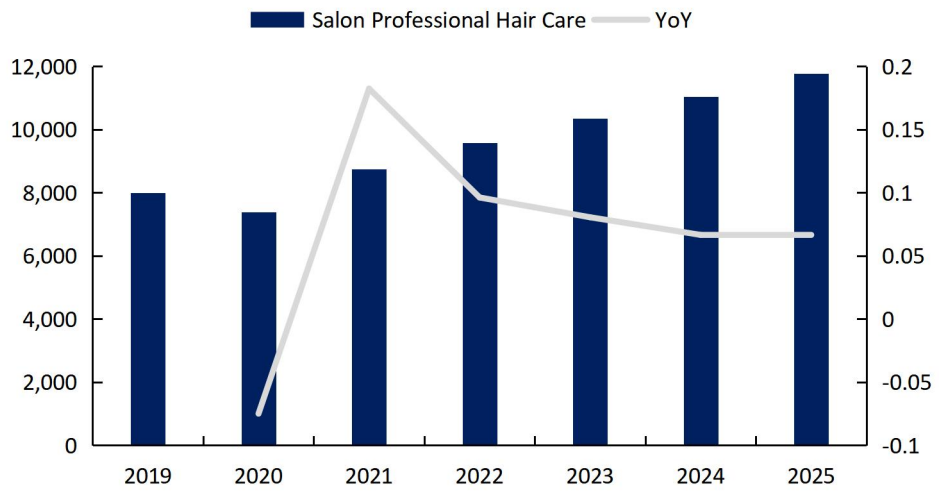
Category	Hero Products	Target Consumer	Highlights
Skincare	Advanced Génifique Serum; Biotic Serum	Women 25–55	Top 3 Prestige Serum in China
Anti-Aging	Absolue Collection; Rose + Pro-Xylane	Women 40+	Ultra-Premium Anti-Aging Line
Makeup	Teint Idole Ultra Wear Foundation	Women 20–45	One of the Best-Selling Prestige Foundations Globally
Fragrance	La Vie Est Belle	Women 25–50	Top 5 Best-Selling Women's Fragrance Worldwide

Source: Company Annual Reports, HFI

3.3 Professional Products Division: Specialized Products & Channel Partnerships Build Brand Moats

The global professional hair salon market reached approximately USD 11.8 billion in 2025, with continuous growth over the past five years. The segment has distinctive characteristics: the salon channel (B2B) is its core, with extremely high requirements for product professionalism and safety; consumers place greater value on the service experience than on the product itself; and stylist recommendations are the most important purchase driver. The industry is undergoing a transition from a pure B2B model to a hybrid B2B+B2C approach. Growth in the premium haircare market has been particularly strong, with consumers increasingly willing to pay a premium for salon-quality products.

Figure: Global Professional Hair Salon Market Size 2019–2025 (USD million)



Source: Company Annual Reports, HFI

All brands within the Professional Products Division centre their distribution on the professional hair salon channel: Kérastase (founded in 1964, the division's largest brand, maintaining double-digit growth), L'Oréal Professionnel (the original founding brand, with the broadest salon coverage), Redken (acquired in 1993, the number-one professional haircare brand in the US market), Matrix, Biolage, and Pureology. The acquisition of Color Wow in June 2025 further enriched the premium haircare portfolio.

Figure: Professional Products Division Brand Portfolio

Brand	Positioning	Hero Products	Channel Mix
Kérastase	Division's #1 Brand; Double-Digit Growth	Première, Gloss Absolu	Salon + E-Commerce + Selective Retail
L'Oréal Professionnel	Founding Brand; Largest Salon Footprint	iNOA, Absolut Repair, Série Expert Moleculaire	Salon-Led
Redken	#1 Professional Haircare Brand in the US	Acidic Bonding Concentrate, Shades EQ	Salon + Selective Retail
Matrix	Mass Professional Positioning	SoColor, Total Results	Mass Professional Channels
Color Wow	Acquired June 2025; Premium Haircare	Dream Coat, Money Masque	Prestige Retail

Source: Company Annual Reports, HFI

The division maintains its competitive strength through proprietary formulations that raise barriers to entry, continuous technology iteration, and close engagement with hair stylists globally. Taking Kérastase as an example: founded in 1964 and positioned as "salon-grade luxury haircare", Kérastase surpassed L'Oréal Professionnel to become the division's largest brand in 2024 while maintaining double-digit growth. The brand's core philosophy of "bringing skincare thinking to haircare" emphasises a trinity of scientific formulation, personalised diagnostics, and the salon service experience. At the product level, formulations must meet the professional and safety standards required for salon application. In terms of continuous innovation, the Première range uses citric acid to repair broken di-sulphide bonds, and Gloss Absolu was the brand's largest new product launch in

2024; the Genesis range is precisely positioned to address the growing hair loss and scalp care trend; and Elixir Ultime and Chronologiste target the ultra-luxury tier in premium haircare oils. From a channel perspective, close engagement with the hairstylist community — combined with maintaining the salon as the core channel while actively expanding into e-commerce and selective retail (such as Sephora) — creates a consumer loop of "discover in salon, repurchase online".

Figure: Kérastase Key Milestones

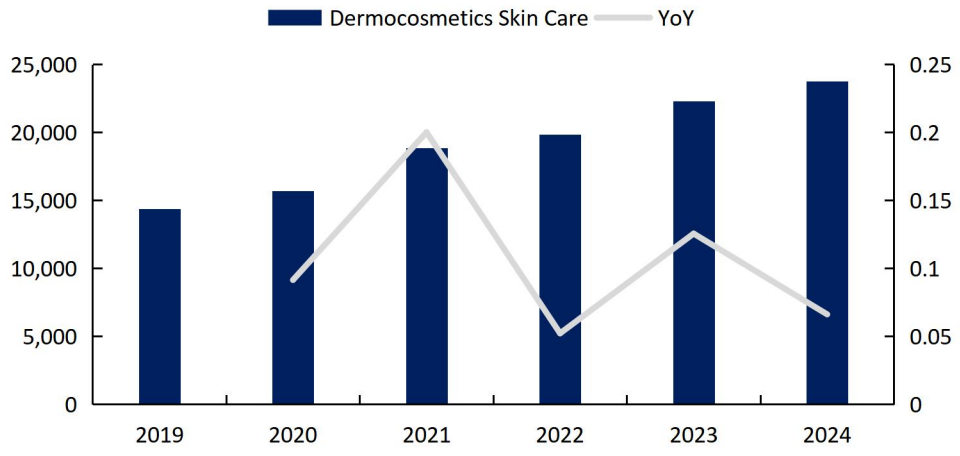
Year	Key Events	Key Launches
2020	COVID-19 Impact; Salon Closures	—
2021	Post-Pandemic Salon Recovery	Curl Manifesto
2022	Prestige Haircare Boom	Première (Citric Acid Bond Repair)
2023	Omnichannel Acceleration	Elixir Ultime
2024	Surpassed L'Oréal Professionnel to Become Division's #1 Brand; Double-Digit Growth	Gloss Absolu (New Launch)

Source: Company Annual Reports, HFI

3.4 Dermatological Beauty Division: Science-Backed Skincare Solving Consumer Pain Points

The global dermatological skincare market reached approximately USD 23.8 billion in 2024, maintaining growth over the past five years, with growth rates exceeding double digits in both 2021 and 2023. Key trends include: growing consumer focus on ingredients and clinical efficacy evidence; the "Skintok" effect — dermatologists and skincare creators on TikTok and Xiaohongshu have substantially elevated awareness of dermatological skincare products; and channel diversification, expanding from traditional pharmacies and hospital prescription channels to e-commerce and selective retail.

Figure: Global Dermatological Skincare Market Size 2019–2024 (USD million)



Source: Euromonitor

The Dermatological Beauty Division is anchored in dermatological science and home to the world's leading dermo-skincare brands: La Roche-Posay (the world's largest dermatological brand), CeraVe (surpassed EUR 2 billion in 2024, Gen Z's favourite skincare brand), Vichy (renowned for its thermal water and the Dercos scalp care range), SkinCeuticals (acquired in 2005, renowned for its medical-grade Vitamin C serum and antioxidant products), and Skinbetter Science (acquired in 2023, focused on post-injectable skincare).

Figure: Dermatological Beauty Division Brand Portfolio (2024)

Brand	Hero Products	Channel Mix	2024 Key Highlights
La Roche-Posay	Toleriane, Vitamin B3 Serum, Cicaplast B5	Pharmacy + E-Commerce	Division Growth Leader; Double-Digit Growth in SAPMENA
CeraVe	Moisturising Cream, Hydrating Cleanser	Mass Retail + Pharmacy + E-Commerce	Gen Z's #1 Skincare Brand; Driven by International Expansion
Vichy	Dercos, Minéral 89 Serum, Liftactiv	Pharmacy	Thermal Water Heritage + Scalp Care
SkinCeuticals	C E Ferulic, P-Tiox	Medi-Spa + DTC	Medical-Grade Positioning; High DTC Mix
Skinbetter Science	AlphaRet, InterFuse	Medi-Spa + DTC	Post-Procedure Skincare Specialist

Source: Company Annual Reports, HFI

Brands within this division achieve sustained, market-leading growth through physician endorsement and rigorous ongoing research into skin concerns that address consumer needs. Taking La Roche-Posay as an example: founded in 1975 by dermatologists and built on the thermal spring water of La Roche-Posay, France, the brand is recommended by over 90,000 dermatologists worldwide. Its Effaclar range is one of the world's best-selling acne care products; the Mela B3 range, launched in 2024 and featuring the group's proprietary Melasyl molecule, represents a breakthrough innovation in the anti-hyperpigmentation space; and the Anthelios suncare range perennially ranks first in the pharmacy channel.

In terms of revenue scale, the Dermatological Beauty Division is the group's fastest-growing division. Its like-for-like growth from 2022 to 2024 was +21.1%, +18.3%, and +9.8% respectively, substantially outperforming the group-level LFL of +10.9%, +11.0%, and +5.1% over the same period. By comparison, L'Oréal Luxe achieved LFL growth of only +2.7% in 2024, Consumer Products +5.4%, and Professional Products +5.3%. The division's outperformance reflects the high growth momentum in the global dermatological skincare segment (Euromonitor CAGR 2019–2024 of approximately 10.6%), as well as the group's first-mover advantage in physician prescription channels and its multi-brand portfolio.

Figure: La Roche-Posay Brand Overview

Dimension	Highlights
Positioning	World's Leading Dermatological Skincare Brand; Founded by Dermatologists in 1975
Hero Products	Effaclar (Acne) | Mela B3 (Pigmentation, Melasyl Molecule) | Cicaplast B5 (Repair) | Anthelios (Sun Protection) | Toleriane (Sensitive Skin)
Clinical Authority	200+ Clinical Studies over 3 Years
Channel Mix	Pharmacy | E-Commerce
Innovation	Melasyl Molecule | UVMune 400 Sun Protection Technology
Growth Markets	Double-Digit Growth in SAPMENA | Leading Dermocosmetic Brand in China
Social Media	TikTok #LaRochePosay Billions of Views | #SkinTok Effect

Source: Company Annual Reports, HFI

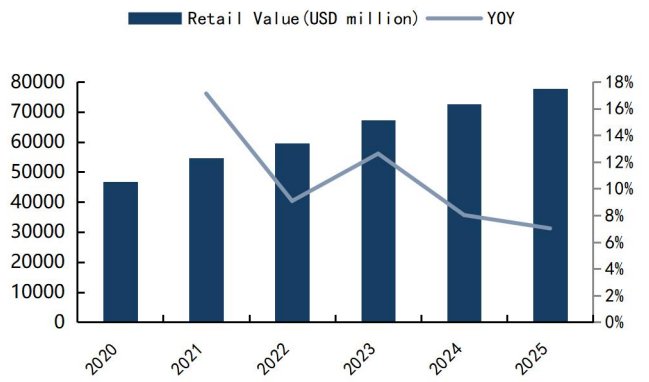
4 Future Highlights: Driving Growth Through Organic Expansion and External Acquisitions

4.1 L'Oréal Luxe Division: Capitalizing on Structural Upgrades in Fragrances and Filling Super-Premium Gaps

The company's Premium Consumer Goods Division will focus on two key dimensions: structural upgrades within the fragrance category (targeting young male consumers, leveraging Asia's rise, and capturing premium value through uniqueness) and rapid expansion of its high-end brand portfolio (filling super-premium gaps through Creed and Kering licensing agreements).

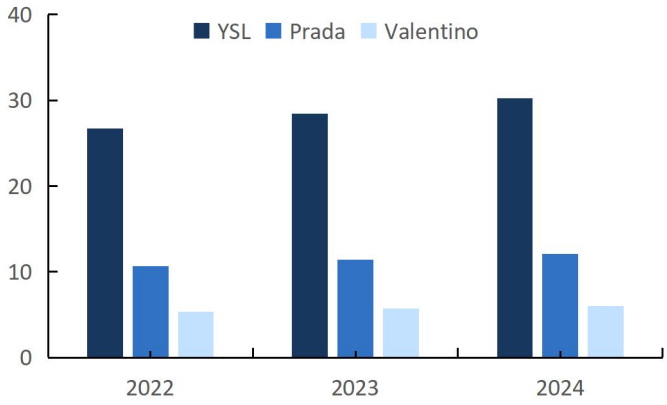
1) **Fragrances serve as the strongest growth engine within the Luxe division, having made significant contributions over the past few years.** Key drivers include platforms like TikTok, which have spurred young men to layer multiple scents rather than using just one and share their combinations; additionally, Asian fragrance consumption is experiencing a structural surge. The company has strategically positioned itself in this sector with brands including YSL (blockbusters like Libre and MYSLF maintain strong sales, with annual revenue exceeding €3 billion and sustained double-digit growth over multiple years), Valentino (the Born in Roma collection has surpassed €700 million in sales), Prada (new releases like Paradoxe and Paradigme demonstrate robust performance), and Miu Miu.

Figure: 2020–2025 Global Perfume Retail Sales (in millions of USD)



Source: Euromonitor, HFI

Figure: 2022–2024 Sales Revenue of the Top Three Brands (in 100 millions of USD)



Source: Euromonitor, HFI

2) **The Group will rapidly fill gaps in the ultra-luxury perfume and Couture beauty segments through acquisitions and licensing, establishing a formidable competitive barrier.** L'Oréal Luxe's brand matrix strategy has proven highly effective: starting with licensing (YSL as a model), scaling rapidly (Valentino/Prada exceeding €700 million), making major acquisitions to fill gaps (Creed in ultra-luxury), and expanding through long-term licensing (Kering alliance), forming a closed-loop ecosystem. In 2025, the Luxe division achieved actual like-for-like growth of +2.8% (accelerating to +3.6% in H2, nearing +5% excluding Asia travel retail), with Fragrances outperforming the market at double digits and Couture brands (YSL, Prada, Valentino) delivering standout contributions. In 2026, this matrix is expected to further drive structural growth through Creed integration, gradual Kering brand infusion, and Asian recovery, solidifying the group's leadership in luxury beauty.

Figure: L'Oréal Group's Luxe Brands: Scale and Growth Projections for 2025

Brand	Product Focus / Positioning	2025 Scale / Market Position	Growth Performance
YSL Beauty	Fragrance (Libre, MYSLF), Makeup (Vinyl Ink)	Approaching €3 billion in net sales; Ranked among top 5 global premium beauty brands	Double-digit growth
Valentino Beauty	Fragrance (Born in Roma)	Rapidly scaling (collectively with Prada exceeding €700 million)	Double-digit growth
Prada Beauty	Fragrance (Paradoxe, Paradigme)	Rapidly scaling (collectively with Valentino exceeding €700 million)	Double-digit growth
Creed	Ultra-premium fragrance ("Hermès of perfumery")	Acquired as part of €4 billion Kering Beauty deal (Oct 2025)	Integration ongoing; expected to accelerate global expansion in 2026
Gucci Beauty	Fragrance & Beauty (license to transfer from Coty in 2028)	Significant potential (Gucci brand scale ~3x YSL's)	License to be integrated in 2028; Poised to replicate YSL's success path

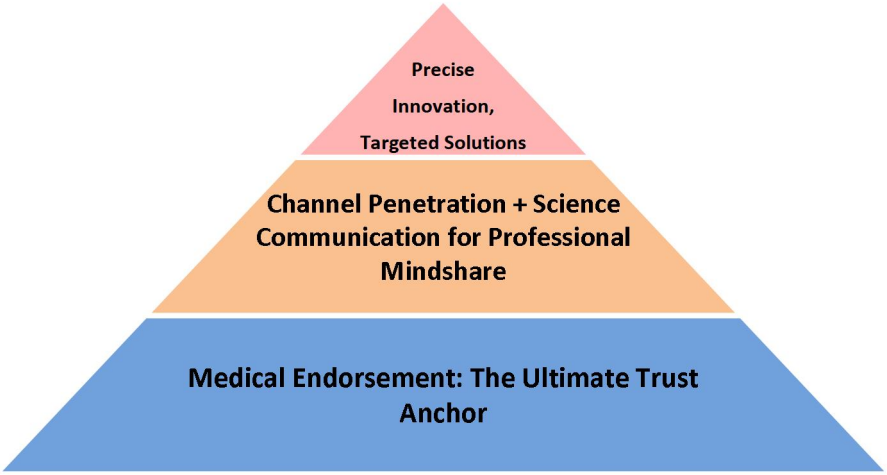
Source: L'Oréal Annual Report, dfnionline, HFI

4.2 Dermatological Beauty Division: Targeting Consumer Needs to Accelerate Emerging Market Penetration

The Active Health Cosmetics Division precisely targets consumer demands, capitalizing on sustained upward trends.

Emphasizing "dermatologist-endorsed + patented technology," it addresses consumers' essential needs for efficacy, safety, and gentleness. Under CeraVe, the focus is on "Triple Ceramide" barrier repair, with core business recovery driven by innovative products like Intensive Moisturizing Lotion in the second half of 2025. La Roche-Posay's Cicaplast line remains a bestseller as the go-to repair solution. Mela B3 (featuring patented Melasyl™) leads in addressing hyperpigmentation, leveraging robust scientific patents to excel in Asia, particularly China. Expansion of the P-Tiox line and new launches like HA Intensifier drive double-digit growth, targeting $1 billion in revenue by 2025. Future plans include increased investment in patented technologies (e.g., Melasyl™ expansion, P-Tiox globalization) and launching breakthrough products targeting hyperpigmentation, aging, and barrier damage. The brand will capitalize on the "longevity science" and preventative skincare trends, with CeraVe planning to enter the sunscreen category by late 2025 or early 2026.

Figure: L'Oréal Group Active Health Cosmetics Division Growth Driver Model



Source: L'Oréal Annual Report, HFI

Capturing scalp care trends to accelerate product portfolio expansion. Consumers now view the scalp as "skin on the head," shifting demand from cleansing to prevention/therapy. The company successfully entered this trend with CeraVe scalp care products, addressing high-frequency treatment pain points and driving cross-category vitality within the division. Vichy (Dercos line) launched dandruff solutions in markets like the U.S., contributing to its recovery. Moving forward, we will build upon CeraVe's scalp care foundation to deepen our "hair-skin convergence" strategy, capturing the growing demand for scalp health prevention.

Figure: CeraVe and Vichy hair-skin Products

Brand	Product Name	Key Ingredients	Price
CeraVe	Anti-Dandruff Hydrating Shampoo	1% Pyrithione Zinc, Ceramides (NP, AP, EOP), Niacinamide, Hyaluronic Acid, Salicylic Acid	$19.99 / 355ml
CeraVe	Anti-Dandruff Hydrating Conditioner	0.5% Pyrithione Zinc, Ceramides (NP, AP, EOP), Niacinamide, Hyaluronic Acid	$11.99 / 9oz
CeraVe	2-in-1 Anti-Dandruff Hydrating Shampoo and Conditioner	1% Pyrithione Zinc, Ceramides (NP, AP, EOP), Niacinamide, Hyaluronic Acid	$11.99
Vichy	DERCOS Anti-Dandruff Soothing Shampoo (for Sensitive Scalp)	Piroctone Olamine, Salicylic Acid, Bisabolol	$11.99/ 200ml
Vichy	Anti-Dandruff Advanced Action Shampoo (for Normal to Oily Scalp)	Selenium DS, Cohesyl	$27.99 / 390ml
Vichy	Hair & Scalp Dermatological Conditioner	Piroctone Olamine, Hyaluronic Acid, Niacinamide, Salicylic Acid	£17.20/ 200ml
Vichy	Dandruff-Prone Scalp Serum 10	Piroctone Olamine, Madecassoside, Niacinamide, Castor Oil	$59.95

Source: Amazon Official Website, HFI

Focus on untapped/high-growth regions including India, Mainland China, Southeast Asia, Latin America, and the GCC, employing a "city-by-city" or digital-first strategy to rapidly capture market share (emerging markets have become the department's primary growth driver). In India, the strategy emphasizes city-by-city penetration + digital-first (Nykaa e-commerce + social), with localized solutions for hyperpigmentation/dullness (La Roche-Posay Mela B3, CeraVe Gentle Repair). Demand significantly exceeded expectations in 2025, driving high single-digit growth, with acceleration anticipated in 2026. Southeast Asia adopts a digital-first approach (Shopee/Lazada + social education) with localized gentle barrier/oil-sensitive products, achieving strong double-digit growth by 2025. GCC (Gulf Cooperation Council) markets leverage online dominance + cosmeceutical/ dermatologist endorsements, building premium dermo trust. These regions will become key growth drivers by 2025, with increased investment anticipated. The Latin American market focuses on cosmeceutical-driven strategies + localized sun protection/repair solutions, with ongoing channel optimization and product upgrades. In the Mainland China market, the company will continue expanding e-commerce channels and new product iterations, anticipating recovery in the second half of 2025. Future strategies will prioritize premium segment recovery and digitalization maintenance.

Figure: Regional Product Layout

Region	Core Product Focus	Localization Strategy	2025 Growth Performance
India	La Roche-Posay Mela B3 (targeting hyperpigmentation), CeraVe gentle repair products	One-city-at-a-time penetration + Digital-first (Nykaa e-commerce + Social media)	High-single-digit growth, demand far exceeding expectations
Mainland China	Continuous e-commerce expansion + product renewal, focusing on premium recovery	Digital maintenance strategy	Recovery trend in 2H, full-year market growth approx. 2.83%
Southeast Asia	Gentle barrier repair, oil-sensitive skin products	Digital-first (Shopee/Lazada + Social education)	Strong double-digit growth
Latin America	Dermocosmetics-driven + localized sun care/repair products	Channel optimization + Product upgrading	13% growth (H1 2025)
GCC	Premium dermo-cosmetics, dermo/pharmacy endorsement	Online-led + Dermo trust endorsement	Became a key growth engine

Source: L'Oréal Group Official Website, beauty packaging, HFI

4.3 Expanding through Acquisitions: Continuously strengthen the international brand operating platform

L'Oréal Group has achieved sustained global expansion through strategic brand acquisitions and licensing, significantly enhancing its competitiveness in high-end luxury, niche segments, and high-growth categories. Notable historical examples include Yves Saint Laurent (licensed in 2008, starting from hundreds of millions of euros and surging to over €3 billion after years of double-digit growth), Valentino and Prada (both with initial sales of €50-100 million, now exceeding €700 million each), and more recently Aesop (acquired in 2023 for $2.5 billion), and Color Wow (to be acquired in 2025, strengthening its premium haircare portfolio). The most significant move in 2025 is the €4 billion strategic alliance with Kering: Acquiring Creed (filling the ultra-luxury/niche fragrance market gap, transaction expected to close in H1 2026) and securing 50-year exclusive beauty licensing rights for brands including Bottega Veneta and Balenciaga (Gucci's beauty operations will transition post-2028), further cementing the group's leadership in luxury beauty.

Figure: Time and Amount of Brand Acquisition

Brand	Acquisition time and Amount
YSL Beauty	2008，$1.8B
Valentino	2019
Prada	2021
Aesop	2023，$2.5B
Color Wow	2025，$1B
Creed	2025，€4B

Source: L'Oréal Group Official Website, HFI

Looking ahead, L'Oréal will continue to leverage mergers and acquisitions as one of its core growth engines. Acquisition decisions are primarily based on three considerations: First, strategic alignment and category/price point complementarity, prioritizing premium/luxury, niche, or high-growth segments (such as fragrances and hair care) to fill gaps in the existing portfolio; Second, growth potential and scalability, where target brands must demonstrate the ability to rapidly scale from a low base (as demonstrated by historical examples like YSL and Valentino); Third, long-term value and synergies, where brands must possess strong DNA and leverage the Group's R&D, channels, marketing, and global resources to accelerate worldwide expansion while exploring emerging segments like wellness/longevity. Historical data indicates acquired brands typically require 3-8 years to achieve significant sales growth: YSL achieved double-digit growth for years starting in 2008, surpassing €3 billion; Valentino/Prada surged from low bases to over €700 million within several years; new brands like Creed are projected to rapidly scale from their current €300-350 million potential to €1 billion levels. Leveraging robust operational and integration capabilities, L'Oréal typically delivers significant growth within 3-5 years post-acquisition, supporting the group's sustained outperformance relative to the market.

5.Valuation and investment rating

5.1 Profit Forecast

➢ **Total Revenue**

We expect the company to maintain steady revenue growth in the coming years. **Total revenue is projected to reach €46.06bn / €48.40bn / €50.95bn in 2026–2028,** representing YoY growth of **4.55% / 5.09% / 5.28%,** respectively. Overall growth will mainly be driven by **premiumization trends, strong demand for dermatological beauty products, and the recovery of professional salon channels.**

1）Professional Products： Revenue from Professional Products is projected to reach **€5.63bn / €5.95bn / €6.30bn in 2026–2028,** corresponding to YoY growth of **9.05% / 5.75% / 5.75%.**

Growth is expected to be mainly supported by the recovery of professional salon demand and the increasing penetration of premium haircare products. Meanwhile, the company continues to strengthen its digital platforms and partnerships with salons, which should further improve channel efficiency and enhance brand influence.

2）Consumer Products： Revenue from Consumer Products is expected to reach **€16.54bn / €17.14bn / €17.76bn in 2026–2028**, representing YoY growth of **2.78% / 3.62% / 3.62%.**

As the company's largest business segment, the division is expected to maintain relatively stable growth. The expansion is primarily driven **by demand growth in emerging markets and product upgrades that support higher average selling prices.** At the same time, the company continues to increase investment in e-commerce channels and social media marketing, which should help maintain stable market share.

3）Luxury Products： Revenue from Luxury Products is projected to reach **€16.26bn / €17.25bn / €18.39bn in 2026–2028,** corresponding to YoY growth of **4.27% / 6.09% / 6.59%.**

Growth will mainly be driven by continued demand for **premium beauty products and strong performance in fragrance and makeup categories.** Core brands such as Lancôme, YSL Beauty, and Armani Beauty maintain strong brand equity in the global premium market. In addition, the recovery of travel retail channels is expected to further support the growth of this segment.

4）Dermatological Beauty: Revenue from Dermatological Beauty is expected to reach **€7.63bn / €8.06bn / €8.51bn in 2026–2028**, representing YoY growth of **5.87% / 5.63% / 5.63%.**

The growth of this segment is mainly supported by **increasing global demand for efficacy-driven skincare products and the expansion of dermatology-related channels.** Brands such as La Roche-Posay, Vichy, and CeraVe maintain strong competitive advantages in the dermatological skincare market.

Figure: Revenue breakdown by business segment, 2024–2028 (EUR million)

L'OREAL	FY24	FY25	FY26e	FY27e	FY28e
NET SALES	43,487	44,052	46,055	48,398	50,953
yoy	*5.60%*	*1.30%*	*4.55%*	*5.09%*	*5.28%*
-Professional Products	4,886	5,163	5,630	5,954	6,297
yoy	*4.99%*	*5.67%*	*9.05%*	*5.75%*	*5.75%*
-Consumer Products	15,982	16,090	16,537	17,136	17,756
yoy	*5.33%*	*0.67%*	*2.78%*	*3.62%*	*3.62%*
-Luxury Products	15,591	15,595	16,261	17,252	18,389
yoy	*4.47%*	*0.03%*	*4.27%*	*6.09%*	*6.59%*
-Dermatological Beauty	7,027	7,204	7,627	8,056	8,510
yoy	*9.25%*	*2.52%*	*5.87%*	*5.63%*	*5.63%*

Source: Wind, HFI

➢ **Gross Margin**

1) Drivers of gross margin improvement

As the company continues to implement its premiumization strategy, the increasing revenue contribution from Luxury Products and Dermatological Beauty, which generally carry higher margins, is expected to provide structural support to overall gross margins. In addition, economies of scale and improvements in supply chain efficiency are likely to further enhance cost control.

2) Cost-side considerations

Although raw material price volatility and channel mix changes may introduce some uncertainty in the short term, continued improvements in supply chain management and product mix optimization are expected to keep the cost ratio on a gradual downward trend.

Overall, we expect the company's gross margin to reach **74.4% / 74.7% / 75.0%** in 2026–2028, showing a modest upward trend.

➢ **Operating Expense Ratio**

R&D Expense Ratio: The company continues to increase investment in **dermatological science, beauty technology, and product innovation** to maintain its technological leadership in the global beauty industry. We expect R&D spending to grow steadily going forward. The R&D expense ratio is projected to **remain stable at around 3.1% during 2026–2028.**

Advertising and Promotion Expense Ratio: Advertising and promotion expenses mainly relate to **brand marketing, digital campaigns, and channel promotion activities.** As the company continues to strengthen brand positioning and increase investments in social media, e-commerce platforms, and global marketing initiatives, advertising and promotion expenses are expected to maintain steady growth. The advertising and promotion expense ratio is projected to reach **31.8% / 31.7% / 31.7% in 2026–2028,** showing a slight decline mainly due to economies of scale from revenue expansion.

SG&A Expense Ratio: SG&A expenses primarily include **administrative costs, operational management expenses, and global corporate overhead**. With the continued expansion of revenue scale, SG&A expenses are expected to remain stable while gradually declining as a percentage of sales. The SG&A expense ratio is expected to reach 18.9% / 18.8% / 18.7% in 2026–2028.

Considering revenue growth, gross margin improvement, and the evolution of expense ratios, we expect the company's profitability to improve steadily. As **product mix continues to shift toward higher-margin categories and operating leverage gradually materializes**, earnings growth is expected to remain solid.

At the same time, the company continues to invest in **brand marketing, product innovation, and channel development**, which keeps short-term operating expenses at relatively high levels. However, overall expense ratios are expected to remain stable, with limited impact on profit growth.

Based on the above assumptions, we forecast **net profit attributable to shareholders to reach €6.79bn / €7.38bn / €7.93bn in 2026–2028**, representing **YoY growth of 10.75% / 8.79% / 7.45%**, indicating **steady and sustainable earnings growth**.

5.2 Valuation Analysis

Based on the Discounted Cash Flow (DCF) valuation model, we have forecasted the company's future operating cash flows. Taking into account industry growth prospects and the company's position as a global leader, we assign a target price of €408.
We initiate coverage on L'Oréal Groupe with an "Outperform" investment rating.

Figure: DCF Model

Discounted Cash Flow										
USD mn										
Free cashflow forecast		2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	2031E	203
Net Revenue		1,068	1,197	1,426	1,654	1,928	2,178	2,440	2,708	2,952	
	YoY		12%	19%	16%	17%	13%	12%	11%	9%	
EBIT		124	153	202	247	307	347	388	446	503	
	YoY		23%	32%	22%	25%	13%	12%	15%	13%	
	EBIT Margin	12%	13%	14%	15%	16%	16%	16%	16%	17%	
EBIT*(1 - t)		100	124	164	200	249	281	314	361	407	
+	Depreciation and Amortization	37	45	40	43	45	47	49	52	54	
-	Change in working capital	32	28	80	0	(4)	25	6	7	(64)	
-	Capex	(90)	(93)	(100)	(108)	(117)	(126)	(136)	(147)	(154)	
Free Cash Flows		**79.01**	**103.81**	**184.20**	**134.59**	**173.07**	**226.37**	**233.00**	**272.74**	**243.48**	
DCF Analysis										
	PV of FCF	1,182						Tax rate	19.0%		
	Terminal value	3,684						Debt ratio	34.0%		
	PV of terminal value	2,246						Beta	0.85		
	Enterprise Value	3,428						Risk free rate	3.0%		
	Net Cash/(Debt), Minority interests	643						Risk premium	10.0%		
	Equity Value	4,071						Equity cost	11.5%		
	Equity value per share	11.12						Debt cost	3.7%		
								Debt cost (Af	3.0%		
								WACC	8.6%		
								Perpetual Gro	1.5%		

Equity value per share (USD)						
Perpetual Growth		1.2%	1.3%	1.4%	1.5%	1.6%	1.7%
WACC	8.3%	11.24	11.33	11.43	11.53	11.63	11.74
	8.4%	11.11	11.20	11.29	11.39	11.49	11.59
	8.5%	10.98	11.07	11.16	11.26	11.35	11.45
	8.6%	10.86	10.94	11.03	11.12	11.22	11.31
	8.7%	10.74	10.82	10.91	11.00	11.09	11.18
	8.8%	10.62	10.70	10.79	10.87	10.96	11.05
	8.9%	10.51	10.59	10.67	10.75	10.84	10.92
% change from DCF TP upon WACC/perpetual growth change							
Perpetual Growth		1.2%	1.3%	1.4%	1.5%	1.6%	1.7%
WACC	8.3%	1.0%	1.9%	2.7%	3.6%	4.6%	5.5%
	8.4%	-0.2%	0.7%	1.5%	2.4%	3.3%	4.2%
	8.5%	-1.3%	-0.5%	0.3%	1.2%	2.1%	3.0%
	8.6%	-2.4%	-1.6%	-0.8%	0.0%	0.8%	1.7%
	8.7%	-3.5%	-2.7%	-1.9%	-1.1%	-0.3%	0.5%
	8.8%	-4.5%	-3.8%	-3.0%	-2.3%	-1.5%	-0.7%
	8.9%	-5.5%	-4.8%	-4.1%	-3.4%	-2.6%	-1.8%

Source: Wind, HFI

Figure: Summary of Financials

资产负债表（百万美元）	2023	2024	2025E	2026E	2027E
现金及现金等价物	247	392	553	665	822
应收款项	10	15	16	17	18
存货净额	135	167	192	221	255
其他流动资产	-	103	34	46	61
流动资产合计	**427**	**724**	**846**	**1,005**	**1,216**
LT Investments & Receivat	383	407	419	431	444
长期股权投资	198	233	245	257	270
无形资产					
其他非流动资产	-	-	-	-	-
非流动资产合计	**581**	**640**	**663**	**688**	**714**
资产总计	**1,008**	**1,363**	**1,510**	**1,693**	**1,931**
短期借款	12	16	17	19	21
应付款项	42	51	56	61	68
其他流动负债	-	-	-	-	-
流动负债合计	**387**	**448**	**493**	**542**	**596**
长期借款及应付债券	56	40	36	30	23
其他长期负债	92	93	102	112	124
长期负债合计	**148**	**133**	**138**	**142**	**147**
负债合计	**535**	**581**	**631**	**684**	**743**
股本	155	343	350	357	364
股东权益	**473**	**782**	**858**	**964**	**1,107**
负债和股东权益总计	**1,008**	**1,363**	**1,489**	**1,649**	**1,851**

现金流量表（百万美元）	2023	2024	2025E	2026E	2027E
净利润	91	121	162	199	242
折旧摊销	37	45	40	43	45
营运资金变动	32	28	80	0	-4
其他	-47	-29	-31	-38	-34
经营活动现金流	**113**	**164**	**251**	**204**	**248**
资本支出	-90	-93	-100	-108	-117
其他	-	-103	-36	-49	-66
投资活动现金流	**-91**	**-193**	**-136**	**-156**	**-181**
债务融资	-4	-4	-5	-6	-7
筹资活动现金流	**-19**	**174**	**45**	**64**	**90**
现金净增加额	**3**	**145**	**161**	**112**	**157**

利润表（百万美元）	2023	2024	2025E	2026E	2027E
营业收入	**1,068**	**1,197**	**1,426**	**1,654**	**1,928**
营业成本	703	784	929	1,071	1,234
毛利	**365**	**414**	**497**	**583**	**694**
销售费用	107	124	143	164	189
管理费用	135	141	155	175	200
财务费用	6	5	5	5	5
其他费用/（-收入）	-	-	-	-	-
营业外净收支	-	-	-	-	-
利润总额	**118**	**147**	**197**	**241**	**302**
所得税费用	27	27	35	42	60
净利润	91	121	162	199	242
少数股东损益	-0	0	-0	-0	-0
归母净利润	**91**	**121**	**162**	**199**	**242**

财务指标	2023	2024	2025E	2026E	2027E
盈利能力					
ROE	21%	19%	20%	22%	23%
毛利率	34%	35%	35%	35%	36%
营业利润率	23%	22%	21%	20%	20%
归母净利率	9%	10%	11%	12%	13%
成长能力					
# 营业收入增长率	19%	12%	19%	16%	17%
营业利润增长率	22%	13%	20%	17%	19%
净利润增长率	3%	33%	34%	23%	21%
偿债能力					
流动比	1.10	1.62	1.72	1.85	2.04
速动比	0.75	1.24	1.33	1.45	1.61

每股指标与估值	2023	2024	2025E	2026E	2027E
每股指标					
EPS	0.58	0.33	0.44	0.54	0.66
BVPS	3.04	2.14	2.34	2.63	3.03
估值					
P/E	9.00	15.97	11.90	9.67	7.97
P/B	1.73	2.46	2.24	2.00	1.74
P/S	0.77	1.61	1.35	1.16	1.00

Source: Wind, HFI

6. RISK

Raw material price fluctuations; supply chain disruptions; intensified market competition; changes in customer demand and preferences.

APPENDIX

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Recommendation Chart



Source: Company data Bloomberg, HFI estimates